UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

☒ QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

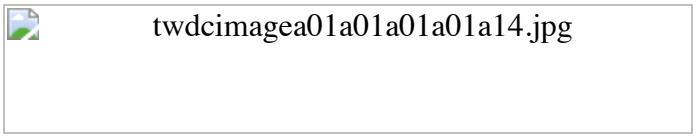
For the quarterly period ended June 27, 2026

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____.

Commission File Number 001-38842



Delaware	**83-0940635**
State or Other Jurisdiction of Incorporation or Organization	I.R.S. Employer Identification

500 South Buena Vista Street
Burbank, California 91521
Address of Principal Executive Offices and Zip Code

(818) 560-1000
Registrant's Telephone Number, Including Area Code

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, $0.01 par value	DIS	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§ 232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company" and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

There were 1,726,686,902 shares of common stock outstanding as of July 29, 2026.

THE WALT DISNEY COMPANY

Form 10-Q

For the Fiscal Quarter Ended June 27, 2026

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Cautionary Note on Forward-Looking Statements

This Quarterly Report on Form 10-Q contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements generally relate to future events or our future financial or operating performance and may include statements concerning, among other things, financial results; business plans (including statements regarding new products and services, agreements, future expenditures, costs and investments); future liabilities and other obligations; impairments and amortization; estimates of the financial impact of certain items, accounting treatment, events or circumstances; competition and seasonality on our businesses and results of operations; and capital allocation, including share repurchases and dividends. In some cases, you can identify forward-looking statements because they contain words such as "may," "will," "would," "expects," "plans," "could," "intends," "target," "projects," "forecasts," "believes," "estimates," "anticipates," "potential," "continue," "assumption" or "judgment" or the negative of these words or other similar terms or expressions that concern our expectations, strategy, plans or intentions. These statements reflect our current views with respect to future events and are based on assumptions as of the date of this report. These statements are subject to known and unknown risks, uncertainties and other factors that may cause our actual results, performance or achievements to be materially different from expectations or results projected or implied by forward-looking statements.

Such differences may result from actions taken by the Company, including restructuring or strategic initiatives (including capital investments, asset acquisitions or dispositions, new or expanded business lines or cessation of certain operations), our execution of our business plans (including the content we create and intellectual properties (IP) we invest in, our pricing decisions, our cost structure and our management and other personnel decisions), our ability to quickly execute on cost rationalization while preserving revenue, the discovery of additional information or other business decisions, as well as from developments beyond the Company's control, including:

- the occurrence of subsequent events;
- deterioration in domestic and global economic conditions or failure of conditions to improve as anticipated;
- deterioration in or pressures from competitive conditions, including competition to create or acquire content, competition for talent and competition for advertising revenue;
- consumer preferences for and acceptance of our content offerings and the distribution channel (including pricing and bundling of our streaming services and impact on churn and subscriber additions) and our travel destinations;
- the market for advertising sales on our streaming services and linear networks;
- health concerns and their impact on our businesses and productions;
- international, including tariffs and other trade policies, political or military developments;
- regulatory and legal developments;
- technological developments;
- the continued availability of our licenses;
- labor markets and activities, including work stoppages;
- adverse weather conditions or natural disasters; and
- availability of content.

Such developments may further affect entertainment, travel and leisure businesses generally and may, among other things, affect (or further affect, as applicable):

- our operations, business plans or profitability;
- demand for our products and services;
- the performance of the Company's content;
- our ability to create or obtain desirable content at or under the value we assign the content;
- the advertising market for programming;
- taxation; and
- performance of some or all Company businesses either directly or through their impact on those who distribute our products.

Additional factors include those described in our 2025 Annual Report on Form 10-K, including under the captions "Risk Factors," "Management's Discussion and Analysis of Financial Condition and Results of Operations," and "Business," in our subsequent quarterly reports on Form 10-Q, including under the captions "Risk Factors" and "Management's Discussion and Analysis of Financial Condition and Results of Operations," and in our subsequent filings with the Securities and Exchange Commission.

A forward-looking statement is neither a prediction nor a guarantee of future events or circumstances. You should not place undue reliance on the forward-looking statements. Unless required by federal securities laws, we assume no obligation to update any of these forward-looking statements, or to update the reasons actual results could differ materially from those anticipated, to reflect circumstances or events that occur after the statements are made.

PART I. FINANCIAL INFORMATION

Item 1: Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(unaudited; in millions, except per share data)

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Revenues:				
Services	**$ 22,675**	$ 21,214	**$ 68,565**	$ 64,520
Products	**2,573**	2,436	**7,832**	7,441
Total revenues	**25,248**	23,650	**76,397**	71,961
Costs and expenses:				
Cost of services (exclusive of depreciation and amortization)	**(13,674)**	(13,034)	**(43,094)**	(40,201)
Cost of products (exclusive of depreciation and amortization)	**(1,432)**	(1,498)	**(4,582)**	(4,547)
Selling, general, administrative and other	**(3,968)**	(4,141)	**(12,162)**	(12,052)
Depreciation and amortization	**(1,414)**	(1,332)	**(4,135)**	(3,932)
Total costs and expenses	**(20,488)**	(20,005)	**(63,973)**	(60,732)
Restructuring and impairment charges	**(900)**	(185)	**(1,139)**	(437)
Interest expense, net	**(298)**	(324)	**(813)**	(1,037)
Equity in the income of investees	**83**	75	**233**	203
Income before income taxes	**3,645**	3,211	**10,705**	9,958
Income taxes	**(801)**	2,732	**(2,912)**	2,030
Net income	**2,844**	5,943	**7,793**	11,988
Net income attributable to noncontrolling interests	**(206)**	(681)	**(506)**	(897)
Net income attributable to The Walt Disney Company (Disney)	**$ 2,638**	$ 5,262	**$ 7,287**	$ 11,091
Earnings per share attributable to Disney:				
Diluted	**$ 1.51**	$ 2.92	**$ 4.12**	$ 6.12
Basic	**$ 1.52**	$ 2.92	**$ 4.13**	$ 6.14
Weighted average number of common and common equivalent shares outstanding:				
Diluted	**1,743**	1,805	**1,769**	1,812
Basic	**1,738**	1,799	**1,763**	1,806

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(unaudited; in millions)

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Net income	**$ 2,844**	$ 5,943	**$ 7,793**	$ 11,988
Other comprehensive income (loss), net of tax:				
Market value adjustments for hedges	**49**	(391)	**257**	(282)
Pension and postretirement medical plan adjustments	**(6)**	25	**(4)**	68
Foreign currency translation and other	**22**	207	**(189)**	813
Other comprehensive income (loss)	**65**	(159)	**64**	599
Comprehensive income	**2,909**	5,784	**7,857**	12,587
Net income attributable to noncontrolling interests	**(206)**	(681)	**(506)**	(897)
Other comprehensive income (loss) attributable to noncontrolling interests	**(22)**	(13)	**(58)**	51
Comprehensive income attributable to Disney	**$ 2,681**	$ 5,090	**$ 7,293**	$ 11,741

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED BALANCE SHEETS
(unaudited; in millions, except per share data)

	June 27, 2026	September 27, 2025
ASSETS		
Current assets		
Cash and cash equivalents	**$ 5,185**	$ 5,695
Receivables, net	**14,553**	13,217
Inventories	**2,081**	2,134
Content advances	**1,934**	2,063
Other current assets	**1,139**	1,158
Total current assets	**24,892**	24,267
Produced and licensed content costs	**30,193**	31,327
Investments	**7,627**	8,097
Parks, resorts and other property		
Attractions, buildings and equipment	**87,448**	82,041
Accumulated depreciation	**(49,056)**	(48,889)
	38,392	33,152
Projects in progress	**5,169**	6,911
Land	**1,183**	1,192
	44,744	41,255
Intangible assets, net	**9,786**	9,272
Goodwill	**74,682**	73,294
Other assets	**12,816**	10,002
Total assets	**$ 204,740**	$ 197,514
LIABILITIES AND EQUITY		
Current liabilities		
Accounts payable and other accrued liabilities	**$ 19,548**	$ 21,203
Current portion of borrowings	**8,627**	6,711
Deferred revenue and other	**6,930**	6,248
Total current liabilities	**35,105**	34,162
Borrowings	**37,414**	35,315
Deferred income taxes	**5,219**	3,524
Other long-term liabilities	**10,160**	9,901
Commitments and contingencies (Note 12)		
Equity		
Preferred stock	**—**	—
Common stock and additional paid-in capital, $0.01 par value, Authorized – 4.6 billion shares, Issued – 1.9 billion shares	**62,639**	59,814
Retained earnings	**65,052**	60,410
Accumulated other comprehensive loss	**(2,908)**	(2,914)
Treasury stock, at cost, 148 million shares at June 27, 2026 and 79 million shares at September 27, 2025	**(14,751)**	(7,441)
Total Disney Shareholders' equity	**110,032**	109,869
Noncontrolling interests	**6,810**	4,743
Total equity	**116,842**	114,612
Total liabilities and equity	**$ 204,740**	$ 197,514

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(unaudited; in millions)

	Nine Months Ended	
	June 27, 2026	June 28, 2025
OPERATING ACTIVITIES		
Net income	**$ 7,793**	$ 11,988
Depreciation and amortization	**4,135**	3,932
Impairments of investments and produced content	**959**	419
Deferred income taxes	**1,028**	(2,915)
Equity in the income of investees	**(233)**	(203)
Cash distributions received from equity investees	**191**	110
Net change in produced and licensed content costs and advances	**1,106**	819
Equity-based compensation	**1,160**	1,004
Other, net	**(121)**	(153)
Changes in operating assets and liabilities:		
Receivables	**(1,170)**	(660)
Inventories	**1**	(70)
Other assets	**(194)**	(201)
Accounts payable and other liabilities	**(529)**	(307)
Income taxes	**(1,611)**	(136)
Cash provided by operations	**12,515**	13,627
INVESTING ACTIVITIES		
Investments in parks, resorts and other property	**(6,780)**	(6,108)
Acquisitions and purchase of investments, net	**(540)**	(98)
Other, net	**64**	13
Cash used in investing activities	**(7,256)**	(6,193)
FINANCING ACTIVITIES		
Commercial paper borrowings (payments), net	**2,268**	(1,498)
Borrowings	**5,046**	1,057
Reduction of borrowings	**(3,625)**	(2,969)
Dividends	**(1,337)**	(905)
Repurchases of common stock	**(7,245)**	(2,496)
Acquisition of redeemable noncontrolling interests	**—**	(439)
Other, net	**(847)**	(840)
Cash used in financing activities	**(5,740)**	(8,090)
Impact of exchange rates on cash, cash equivalents and restricted cash	**(19)**	31
Change in cash, cash equivalents and restricted cash	**(500)**	(625)
Cash, cash equivalents and restricted cash, beginning of period	**5,799**	6,102
Cash, cash equivalents and restricted cash, end of period	**$ 5,299**	$ 5,477

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED STATEMENTS OF EQUITY
(unaudited; in millions)

	Quarter Ended							
	Equity Attributable to Disney							
	Shares[1]	Common Stock and Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Treasury Stock	Total Disney Equity	Non-controlling Interests[2]	Total Equity
Balance at March 28, 2026	1,745	$ 62,256	$ 62,393	$ (2,951)	$ (12,990)	$ 108,708	$ 6,604	$ 115,312
Comprehensive income	—	—	2,638	43	—	2,681	228	2,909
Equity compensation activity	2	394	—	—	—	394	4	398
Dividends	—	—	17	—	—	17	—	17
Common stock repurchases	(17)	—	—	—	(1,745)	(1,745)	—	(1,745)
Fubo and NFL Transactions	—	(2)	—	—	—	(2)	3	1
Distributions and other	—	(9)	4	—	(16)	(21)	(29)	(50)
Balance at June 27, 2026	**1,730**	**$ 62,639**	**$ 65,052**	**$ (2,908)**	**$ (14,751)**	**$ 110,032**	**$ 6,810**	**$ 116,842**
Balance at March 29, 2025	1,801	$ 59,199	$ 53,733	$ (2,877)	$ (5,716)	$ 104,339	$ 4,427	$ 108,766
Comprehensive income (loss)	—	—	5,262	(172)	—	5,090	217	5,307
Equity compensation activity	3	315	—	—	—	315	—	315
Common stock repurchases	(7)	—	—	—	(711)	(711)	—	(711)
Distributions and other	—	1	114	—	(3)	112	(33)	79
Balance at June 28, 2025	1,797	$ 59,515	$ 59,109	$ (3,049)	$ (6,430)	$ 109,145	$ 4,611	$ 113,756

[1] Shares are net of treasury shares.

[2] Excludes redeemable noncontrolling interests.

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
CONDENSED CONSOLIDATED STATEMENTS OF EQUITY
(unaudited; in millions)

	Nine Months Ended							
	Equity Attributable to Disney							
	Shares[1]	Common Stock and Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Treasury Stock	Total Disney Equity	Non-controlling Interests[2]	Total Equity
Balance at September 27, 2025	1,791	$ 59,814	$ 60,410	$ (2,914)	$ (7,441)	$ 109,869	$ 4,743	$ 114,612
Comprehensive income	—	—	7,287	6	—	7,293	564	7,857
Equity compensation activity	7	960	—	—	—	960	9	969
Dividends	—	14	(2,648)	—	—	(2,634)	—	(2,634)
Common stock repurchases	(68)	—	—	—	(7,245)	(7,245)	—	(7,245)
Fubo and NFL Transactions	—	1,873	—	—	—	1,873	1,936	3,809
Distributions and other	—	(22)	3	—	(65)	(84)	(442)	(526)
Balance at June 27, 2026	**1,730**	**$ 62,639**	**$ 65,052**	**$ (2,908)**	**$ (14,751)**	**$ 110,032**	**$ 6,810**	**$ 116,842**
Balance at September 28, 2024	1,812	$ 58,592	$ 49,722	$ (3,699)	$ (3,919)	$ 100,696	$ 4,826	$ 105,522
Comprehensive income	—	—	11,091	650	—	11,741	370	12,111
Equity compensation activity	9	911	—	—	—	911	—	911
Dividends	—	7	(1,814)	—	—	(1,807)	—	(1,807)
Common stock repurchases	(24)	—	—	—	(2,496)	(2,496)	—	(2,496)
Distributions and other	—	5	110	—	(15)	100	(585)	(485)
Balance at June 28, 2025	1,797	$ 59,515	$ 59,109	$ (3,049)	$ (6,430)	$ 109,145	$ 4,611	$ 113,756

[1] Shares are net of treasury shares.

[2] Excludes redeemable noncontrolling interests.

See Notes to Condensed Consolidated Financial Statements

THE WALT DISNEY COMPANY
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(unaudited; tabular dollars in millions, except for per share data)

1. *Basis of Presentation*

These Condensed Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States of America (GAAP) for interim financial information and the instructions to Rule 10-01 of Regulation S-X. Accordingly, they do not include all of the information and footnotes required by GAAP for complete financial statements. We believe that we have included all normal recurring adjustments necessary for a fair statement of the results for the interim period. Operating results for the nine months ended June 27, 2026 are not necessarily indicative of the results that may be expected for the year ending October 3, 2026.

The terms "Company," "Disney," "we," "us," and "our" are used in this report to refer collectively to the parent company, The Walt Disney Company, as well as the subsidiaries through which its various businesses are actually conducted.

These financial statements should be read in conjunction with the Company's 2025 Annual Report on Form 10-K.

Effective January 31, 2026, the financial results attributable to the media assets acquired from the NFL have been included in the Company's Condensed Consolidated Financial Statements. See Note 4 for additional information.

Effective October 29, 2025, the financial results attributable to FuboTV Inc. (Fubo) have been included in the Company's Condensed Consolidated Financial Statements. See Note 4 for additional information.

On November 14, 2024, the Company and Reliance Industries Limited (RIL) formed a joint venture (India joint venture) that combined the Company's Star-branded and other general entertainment and sports television channels and Disney+ Hotstar streaming service in India (Star India) with certain media and entertainment businesses controlled by RIL (the Star India Transaction). The Company has a 37% interest in the India joint venture and recognizes its share of the joint venture's results in "Equity in the income of investees." Star India's results through November 14, 2024 were consolidated in the Company's financial results.

Variable Interest Entities

The Company enters into relationships with or makes investments in other entities that may be variable interest entities (VIE). A VIE is consolidated in our financial statements if the Company has the power to direct activities that most significantly impact the economic performance of the VIE and has the obligation to absorb losses or the right to receive benefits from the VIE that could potentially be significant (as defined by ASC 810-10-25-38) to the VIE. Hong Kong Disneyland Resort and Shanghai Disney Resort (together the Asia Theme Parks, see Note 6) are VIEs in which the Company has less than 50% equity ownership. Company subsidiaries (the Management Companies) have management agreements with the Asia Theme Parks, which provide the Management Companies, subject to certain protective rights of joint venture partners, with the ability to direct the day-to-day operating activities and the development of business strategies that we believe most significantly impact the economic performance of the Asia Theme Parks. In addition, the Management Companies receive management fees under these arrangements that we believe could be significant to the Asia Theme Parks. Therefore, the Company has consolidated the Asia Theme Parks in its financial statements.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and footnotes thereto. Actual results may differ from those estimates.

Reclassifications

Certain reclassifications have been made in the fiscal 2025 financial statements and notes to conform to the fiscal 2026 presentation.

2. *Segment Information*

The Company's operations are reported in three segments: Entertainment, Sports and Experiences, for which separate financial information, including segment revenue and operating income, is evaluated regularly by the Chief Executive Officer, the Chief Operating Decision Maker, to allocate resources and assess performance. The Company announced that much of its Consumer Products business, which is reported as part of the Experiences segment, will be brought under the leadership

structure of the Entertainment segment. We will report under the new structure commencing with our fiscal 2027 reporting, at which time we will have implemented changes to our financial reporting processes.

Segment operating results reflect earnings before corporate and unallocated shared expenses, restructuring and impairment charges, net other income/expense, net interest expense, income taxes and noncontrolling interests. Segment operating income generally includes equity in the income of investees, except for our India joint venture, and excludes amortization of intangible assets and impacts from fair value adjustments recognized in connection with the fiscal 2019 acquisition of TFCF Corporation (TFCF) and Hulu LLC (Hulu) and business acquisitions occurring after fiscal 2025 (Acquisition Amortization). Corporate and unallocated shared expenses principally consist of corporate functions, executive management and certain unallocated administrative support functions.

Segment operating results include allocations of certain costs, including information technology, pension, legal and other shared services costs, which are allocated based on metrics designed to correlate with consumption.

Segment revenues, segment operating income and significant segment expenses are as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Revenues:				
Entertainment				
Third parties	**$ 11,186**	$ 10,593	**$ 34,181**	$ 31,919
Amounts eliminated in consolidation	**159**	111	**488**	339
	11,345	10,704	**34,669**	32,258
Sports				
Third parties	**4,094**	3,971	**12,755**	12,652
Amounts eliminated in consolidation	**406**	337	**1,263**	1,040
	4,500	4,308	**14,018**	13,692
Experiences	**9,968**	9,086	**29,461**	27,390
Eliminations	**(565)**	(448)	**(1,751)**	(1,379)
Total segment revenues	**$ 25,248**	$ 23,650	**$ 76,397**	$ 71,961
Segment operating income:				
Entertainment	**$ 1,680**	$ 1,022	**$ 4,116**	$ 3,983
Sports	**858**	1,037	**1,701**	1,971
Experiences	**3,017**	2,516	**8,941**	8,117
Total segment operating income[(1)]	**$ 5,555**	$ 4,575	**$ 14,758**	$ 14,071

[(1)] Equity in the income of investees is included in segment operating income as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Entertainment	**$ 92**	$ 102	**$ 318**	$ 344
Sports	**35**	26	**51**	54
Equity in the income of investees included in segment operating income	**127**	128	**369**	398
Equity in the loss of India joint venture	**(44)**	(50)	**(136)**	(186)
Acquisition Amortization related to an equity investee	**—**	(3)	**—**	(9)
Equity in the income of investees	**$ 83**	$ 75	**$ 233**	$ 203

Information about significant segment expenses	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Entertainment				
Programming and production costs	**$ 5,819**	$ 5,772	**$ 18,539**	$ 16,938
Other segment operating expenses[1]	**1,419**	1,326	**4,388**	4,027
Selling, general, administrative and other	**2,301**	2,488	**7,257**	7,075
Depreciation and amortization	**218**	198	**687**	579
Total Entertainment costs and expenses	**9,757**	9,784	**30,871**	28,619
Sports				
Programming and production costs	**3,050**	2,762	**10,539**	10,072
Other segment operating expenses[2]	**254**	246	**759**	736
Selling, general, administrative and other	**344**	276	**989**	933
Depreciation and amortization	**29**	13	**81**	34
Total Sports costs and expenses	**3,677**	3,297	**12,368**	11,775
Experiences				
Operating labor	**2,356**	2,284	**6,996**	6,661
Infrastructure costs	**953**	870	**2,655**	2,527
Cost of goods sold and distribution costs	**721**	779	**2,437**	2,431
Other segment operating expenses[3]	**1,035**	875	**2,922**	2,536
Selling, general, administrative and other	**1,065**	1,051	**3,142**	3,023
Depreciation and amortization	**821**	711	**2,368**	2,095
Total Experiences costs and expenses	**6,951**	6,570	**20,520**	19,273
Eliminations[4]	**(565)**	(448)	**(1,751)**	(1,379)
Corporate and unallocated shared expenses	**334**	410	**1,018**	1,265
Acquisition Amortization[5]	**334**	392	**947**	1,179
Total costs and expenses	**$ 20,488**	$ 20,005	**$ 63,973**	$ 60,732

(1) Other operating expenses of Entertainment include technology support costs, distribution costs and costs of goods sold.

(2) Other operating expenses of Sports include technology support costs and distribution costs.

(3) Other operating expenses of Experiences include costs for supplies, processing fees and entertainment offerings.

(4) Reflects fees paid by (a) the entertainment virtual multi-channel video programming distributor (vMVPD) services to the sports and entertainment linear networks for the right to air the networks on the Hulu Live TV and Fubo services and (b) the Entertainment segment to the Sports segment to program certain sports content on ABC Network and Disney+. The offset is included in Entertainment programming and production costs.

(5) Excludes Acquisition Amortization of intangible assets related to an equity investee.

A reconciliation of segment operating income to income before income taxes is as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Segment operating income	**$ 5,555**	$ 4,575	**$ 14,758**	$ 14,071
Corporate and unallocated shared expenses	**(334)**	(410)	**(1,018)**	(1,265)
Equity in the loss of India joint venture	**(44)**	(50)	**(136)**	(186)
Restructuring and impairment charges[1]	**(900)**	(185)	**(1,139)**	(437)
Interest expense, net	**(298)**	(324)	**(813)**	(1,037)
Acquisition Amortization[2]	**(334)**	(395)	**(947)**	(1,188)
Income before income taxes	**$ 3,645**	$ 3,211	**$ 10,705**	$ 9,958

(1) See Note 15 for a discussion of amounts in restructuring and impairment charges.

(2) Acquisition Amortization is as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Amortization of intangible assets	**$ 270**	$ 326	**$ 755**	$ 980
Step-up of film and television costs	**64**	66	**192**	199
Intangibles related to an equity investee	**—**	3	**—**	9
	$ 334	$ 395	**$ 947**	$ 1,188

3. *Revenues*

The following table presents revenues by segment and source:

	Quarter Ended June 27, 2026				
	Entertainment	Sports	Experiences	Eliminations	**Total**
Subscription and affiliate fees	$ 7,545	$ 3,142	$ —	$ (433)	**$ 10,254**
Advertising	1,625	1,204	—	—	**2,829**
Theme park admissions	—	—	3,253	—	**3,253**
Resorts and vacations	—	—	2,766	—	**2,766**
Retail and wholesale sales of merchandise, food and beverage	—	—	2,536	—	**2,536**
Merchandise licensing	170	—	804	—	**974**
Content sales	1,596	—	—	—	**1,596**
Other	409	154	609	(132)	**1,040**
	$ 11,345	$ 4,500	$ 9,968	$ (565)	**$ 25,248**

	Quarter Ended June 28, 2025				
	Entertainment	Sports	Experiences	Eliminations	Total
Subscription and affiliate fees	$ 6,765	$ 2,899	$ —	$ (315)	$ 9,349
Advertising	1,641	1,148	—	—	2,789
Theme park admissions	—	—	2,996	—	2,996
Resorts and vacations	—	—	2,373	—	2,373
Retail and wholesale sales of merchandise, food and beverage	—	—	2,397	—	2,397
Merchandise licensing	149	—	726	—	875
Content sales	1,698	84	—	—	1,782
Other	451	177	594	(133)	1,089
	$ 10,704	$ 4,308	$ 9,086	$ (448)	$ 23,650

	Nine Months Ended June 27, 2026				
	Entertainment	Sports	Experiences	Eliminations	**Total**
Subscription and affiliate fees	$ 22,596	$ 9,376	$ —	$ (1,319)	**$ 30,653**
Advertising	5,070	3,813	—	—	**8,883**
Theme park admissions	—	—	9,646	—	**9,646**
Resorts and vacations	—	—	7,740	—	**7,740**
Retail and wholesale sales of merchandise, food and beverage	—	—	7,719	—	**7,719**
Merchandise licensing	509	—	2,467	—	**2,976**
Content sales	5,257	60	—	—	**5,317**
Other	1,237	769	1,889	(432)	**3,463**
	$ 34,669	$ 14,018	$ 29,461	$ (1,751)	**$ 76,397**

	Nine Months Ended June 28, 2025				
	Entertainment	Sports	Experiences	Eliminations	Total
Subscription and affiliate fees	$ 20,343	$ 9,036	$ —	$ (968)	$ 28,411
Advertising	5,137	3,647	—	—	8,784
Theme park admissions	—	—	9,002	—	9,002
Resorts and vacations	—	—	6,953	—	6,953
Retail and wholesale sales of merchandise, food and beverage	—	—	7,302	—	7,302
Merchandise licensing	462	—	2,357	—	2,819
Content sales	4,877	212	—	—	5,089
Other	1,439	797	1,776	(411)	3,601
	$ 32,258	$ 13,692	$ 27,390	$ (1,379)	$ 71,961

The following table presents revenues by segment and primary geographical markets:

	Quarter Ended June 27, 2026				
	Entertainment	Sports	Experiences	Eliminations	**Total**
Americas	$ 8,917	$ 4,413	$ 7,294	$ (565)	**$ 20,059**
Europe	1,790	70	1,316	—	**3,176**
Asia Pacific	638	17	1,358	—	**2,013**
Total revenues	$ 11,345	$ 4,500	$ 9,968	$ (565)	**$ 25,248**

	Quarter Ended June 28, 2025				
	Entertainment	Sports	Experiences	Eliminations	Total
Americas	$ 8,569	$ 4,218	$ 6,824	$ (448)	$ 19,163
Europe	1,580	72	1,177	—	2,829
Asia Pacific	555	18	1,085	—	1,658
Total revenues	$ 10,704	$ 4,308	$ 9,086	$ (448)	$ 23,650

	Nine Months Ended June 27, 2026				
	Entertainment	Sports	Experiences	Eliminations	Total
Americas	$ 27,169	$ 13,735	$ 22,167	$ (1,751)	**$ 61,320**
Europe	5,414	223	3,472	—	**9,109**
Asia Pacific	2,086	60	3,822	—	**5,968**
Total revenues	$ 34,669	$ 14,018	$ 29,461	$ (1,751)	**$ 76,397**

	Nine Months Ended June 28, 2025				
	Entertainment	Sports	Experiences	Eliminations	Total
Americas	$ 25,617	$ 13,377	$ 20,915	$ (1,379)	$ 58,530
Europe	4,804	221	3,109	—	8,134
Asia Pacific	1,837	94	3,366	—	5,297
Total revenues	$ 32,258	$ 13,692	$ 27,390	$ (1,379)	$ 71,961

Revenues recognized in the current and prior-year periods from performance obligations satisfied (or partially satisfied) in previous reporting periods primarily relate to revenues earned on content made available to distributors and licensees in previous reporting periods. For the quarter ended June 27, 2026, $0.3 billion was recognized related to performance obligations satisfied as of March 28, 2026. For the nine months ended June 27, 2026, $0.8 billion was recognized related to performance obligations satisfied as of September 27, 2025. For the quarter ended June 28, 2025, $0.3 billion was recognized related to performance obligations satisfied as of March 29, 2025. For the nine months ended June 28, 2025, $0.8 billion was recognized related to performance obligations satisfied as of September 28, 2024.

As of June 27, 2026, revenue for unsatisfied performance obligations expected to be recognized in the future is $16 billion, primarily for IP to be made available in the future under existing agreements with merchandise and co-branding licensees and sponsors, wholesalers of SVOD streaming services, sports sublicensees and television station affiliates. Of this amount, we expect to recognize approximately $2 billion in the remainder of fiscal 2026, $6 billion in fiscal 2027, $4 billion in fiscal 2028 and $4 billion thereafter. These amounts include only fixed consideration or minimum guarantees and do not include amounts related to (i) contracts with an original expected term of one year or less or (ii) licenses of IP that are solely based on the sales of the licensee.

Accounts receivable and deferred revenues from contracts with customers are as follows:

	June 27, 2026	September 27, 2025
Accounts receivable		
Current	**$ 12,064**	$ 10,544
Non-current	**1,081**	985
Allowance for credit losses	**(145)**	(126)
Deferred revenues		
Current	**6,402**	5,689
Non-current	**693**	785

For the quarter and nine months ended June 27, 2026, the Company recognized revenue of $0.5 billion and $5.0 billion, respectively, that was included in the September 27, 2025 deferred revenue balance. For the quarter and nine months ended June 28, 2025, the Company recognized revenue of $0.5 billion and $5.0 billion, respectively, that was included in the September 28, 2024 deferred revenue balance. Amounts deferred generally relate to theme park admissions and vacation packages, subscriptions to streaming services and advances related to merchandise and TV/VOD licenses.

4. *Acquisitions*

NFL media assets

On January 31, 2026, ESPN acquired NFL Network and certain other media assets owned and controlled by NFL Enterprises LLC, including the NFL RedZone channel's pay TV distribution and NFL Fantasy (collectively the Specified Assets), from NFL Enterprises LLC in exchange for a 10% noncontrolling interest in ESPN (the NFL Transaction). This transaction will allow the Company to expand audience reach, increase accessibility and flexibility for consumers, drive innovation, and offer more high-quality content at competitive prices. Following the NFL Transaction, the Company has an effective 72% interest in ESPN and Hearst Corporation has an 18% interest. After July 2034, based on the performance of the Specified Assets, the Company may have the right to reacquire the NFL's interest in ESPN in exchange for a ten-year note at 70% of the then fair market value of the NFL's interest in ESPN (the Exchange Right). Alternatively, on a similar time frame, the NFL may have the right to acquire up to a 4% additional equity interest in ESPN at a purchase price equal to 70% of the then fair market value of the additional interest in ESPN.

The estimated fair value of the NFL Transaction was approximately $3 billion. A significant portion of the transaction value was deferred in other assets and will be amortized as an expense starting in 2033, or, in the case that the Company exercises its Exchange Right, would be charged to equity. The remaining transaction value was primarily allocated to identifiable intangible assets.

As of January 31, 2026, the Company has included the financial results attributable to the Specified Assets in the Condensed Consolidated Financial Statements. The results were not material to the Company's revenue and net income for the quarter and nine months ended June 27, 2026. Because the NFL Transaction was the exchange of equity interests, the $3 billion fair value is a non-cash transaction and is not reflected in the Condensed Consolidated Statement of Cash Flow.

FuboTV Inc.

On October 29, 2025, the Company and Fubo, a publicly traded vMVPD, combined certain Hulu Live TV assets, including its carriage agreements, subscription agreements and related data, advertising and sponsorship agreements and intellectual property exclusively related to the "Live TV" brand, with Fubo (the Fubo Transaction). The Company has a 70% economic interest in the combined operations, a 70% voting interest in Fubo on a fully diluted basis and the right to appoint a majority of Fubo's Board of Directors. The remaining 30% equity interest in Fubo is retained by Fubo public shareholders.

Based on the closing price of Fubo common stock of $3.69 on October 29, 2025, the estimated fair value of Fubo was $1.3 billion, which was primarily allocated to goodwill of $1.4 billion and identifiable intangible assets of $0.4 billion, partially offset by debt of $0.4 billion. Goodwill reflects the synergies expected from enhancing and expanding the Company's vMVPD offerings with more high-quality offerings, choice and increased flexibility.

As of October 29, 2025, the Company has included the financial results attributable to Fubo in the Condensed Consolidated Financial Statements. Revenue included in the quarter and nine months ended June 27, 2026 was approximately $0.3 billion and $1.0 billion, respectively. The impact on the Company's net income was not significant for the quarter and nine months ended June 27, 2026.

Pursuant to an agreement entered into as part of the Fubo Transaction, the Company is the exclusive distributor of the Hulu Live TV service for five years (renewable for an additional five-year term by mutual agreement) and pays a wholesale fee to Fubo based on Fubo's cost to program Hulu Live TV. Under the same agreement, the Company manages the marketing for Hulu Live TV and sells advertising for the Hulu Live TV and Fubo services for a fee.

Goodwill

The changes in the carrying amount of goodwill are as follows:

	Entertainment	Sports	Experiences	Total
Balance at September 27, 2025	$ 51,258	$ 16,486	$ 5,550	$ 73,294
Fubo and NFL Transactions	1,357	49	—	1,406
Currency translation adjustments and other, net	(18)	—	—	(18)
Balance at June 27, 2026	**$ 52,597**	**$ 16,535**	**$ 5,550**	**$ 74,682**

5. *Cash, Cash Equivalents, Restricted Cash and Borrowings*

Cash, Cash Equivalents and Restricted Cash

The following table provides a reconciliation of cash, cash equivalents and restricted cash reported in the Condensed Consolidated Balance Sheets to the total of the amounts reported in the Condensed Consolidated Statements of Cash Flows.

	June 27, 2026	September 27, 2025
Cash and cash equivalents	**$ 5,185**	$ 5,695
Restricted cash included in:		
Other current assets	**5**	—
Other assets	**109**	104
Total cash, cash equivalents and restricted cash in the statement of cash flows	**$ 5,299**	$ 5,799

Borrowings

During the nine months ended June 27, 2026, the Company's borrowing activity was as follows:

	September 27, 2025	Borrowings	Payments	Other Activity	**June 27, 2026**
Commercial paper with original maturities less than three months[1]	$ 1,963	$ —	$ (1,310)	$ (6)	**$ 647**
Commercial paper with original maturities greater than three months	99	8,510	(4,932)	35	**3,712**
U.S. dollar denominated borrowings[2]	38,658	5,046	(3,625)	240	**40,319**
Asia Theme Parks borrowings	1,075	—	—	45	**1,120**
Foreign currency denominated borrowings and other	231	—	—	12	**243**
	$ 42,026	$ 13,556	$ (9,867)	$ 326	**$ 46,041**

(1) Borrowings and reductions of borrowings are reported net.

(2) The other activity includes borrowings assumed in the acquisition of Fubo.

At June 27, 2026, the Company's bank facilities, which are with a syndicate of lenders and support our commercial paper borrowings, were as follows:

	Committed Capacity	Capacity Used	Unused Capacity
Facility expiring February 2027	$ 5,250	$ —	$ 5,250
Facility expiring March 2029	3,000	—	3,000
Facility expiring February 2031	4,000	—	4,000
Total	$ 12,250	$ —	$ 12,250

The Company's bank facilities allow for borrowings at rates based on the Secured Overnight Financing Rate (SOFR) and at other variable rates for non-U.S. dollar denominated borrowings, plus a fixed spread that varies with the Company's debt ratings assigned by Moody's Ratings and S&P Global Ratings ranging from 0.63% to 1.10%. The bank facilities contain only one financial covenant relating to interest coverage of three times earnings before interest, taxes, depreciation and amortization, including both intangible amortization and amortization of our film and television production and programming costs. On June 27, 2026, the Company met this covenant by a significant margin. The bank facilities specifically exclude certain entities, including the Asia Theme Parks and Fubo, from any representations, covenants or events of default. The Company also has the ability to issue up to $500 million of letters of credit under the facility expiring in February 2031, which if utilized, reduces available borrowings under this facility. As of June 27, 2026, the Company has $0.5 billion of outstanding letters of credit, of which none were issued under this facility.

U.S. Dollar Denominated Borrowings

In February 2026, the Company borrowed $3.5 billion of fixed rate U.S. dollar denominated notes with maturities ranging from 3 to 10 years and stated interest rates that range from 3.75% to 4.63%. In addition, the Company borrowed $0.5 billion of floating rate U.S. dollar denominated notes that mature in 3 years and are indexed to SOFR plus a spread.

Cruise Ship Credit Facilities

In October 2025, in connection with the delivery of the *Disney Destiny*, the Company borrowed $1.1 billion with a fixed interest rate of 3.74%. Payments are due semi-annually over a 12-year term.

Interest expense, net

Interest expense (net of amounts capitalized), interest and investment income, and net periodic pension and postretirement benefit costs (other than service costs) (see Note 8) are reported net in the Condensed Consolidated Statements of Income and consist of the following:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Interest expense	**$ (463)**	$ (438)	**$ (1,379)**	$ (1,396)
Interest and investment income	**52**	47	**222**	161
Net periodic pension and postretirement benefit costs (other than service costs)	**113**	67	**344**	198
Interest expense, net	**$ (298)**	$ (324)	**$ (813)**	$ (1,037)

Interest and investment income includes gains and losses on certain publicly traded and non-public investments, investment impairments and interest earned on cash and cash equivalents and certain receivables.

6. *International Theme Parks*

The Company has a 48% ownership interest in the operations of Hong Kong Disneyland Resort and a 43% ownership interest in the operations of Shanghai Disney Resort. The Asia Theme Parks together with Disneyland Paris are collectively referred to as the International Theme Parks.

The following table summarizes the carrying amounts of the Asia Theme Parks' assets and liabilities included in the Company's Condensed Consolidated Balance Sheets:

	June 27, 2026	September 27, 2025
Cash and cash equivalents	**$ 467**	$ 428
Other current assets	**228**	184
Total current assets	**695**	612
Parks, resorts and other property	**6,431**	6,060
Other assets	**281**	287
Total assets	**$ 7,407**	$ 6,959
Current liabilities	**$ 718**	$ 734
Long-term borrowings	**1,120**	1,075
Other long-term liabilities	**509**	489
Total liabilities	**$ 2,347**	$ 2,298

The following table summarizes the International Theme Parks' revenues and costs and expenses included in the Company's Condensed Consolidated Statements of Income for the nine months ended June 27, 2026:

Revenues	**$ 4,823**
Costs and expenses	**(4,011)**

Asia Theme Parks' royalty and management fees of $255 million for the nine months ended June 27, 2026 are eliminated in consolidation, but are considered in calculating earnings attributable to noncontrolling interests.

International Theme Parks' cash flows included in the Company's Condensed Consolidated Statements of Cash Flows for the nine months ended June 27, 2026 were $1,257 million provided by operating activities, $1,066 million used in investing activities and $19 million provided by financing activities.

7. *Produced and Acquired/Licensed Content Costs and Advances*

Total capitalized produced and licensed content by predominant monetization strategy is as follows:

	As of June 27, 2026			As of September 27, 2025		
	Predominantly Monetized Individually	Predominantly Monetized as a Group	**Total**	Predominantly Monetized Individually	Predominantly Monetized as a Group	Total
Produced content						
Released, less amortization	$ 5,096	$ 14,254	**$ 19,350**	$ 4,624	$ 14,288	$ 18,912
Completed, not released	677	744	**1,421**	313	1,061	1,374
In-process	1,837	4,100	**5,937**	4,082	3,633	7,715
In development or pre-production	315	62	**377**	386	182	568
	$ 7,925	$ 19,160	**27,085**	$ 9,405	$ 19,164	28,569
Licensed content - Television programming rights and advances			**5,042**			4,821
Total produced and licensed content			**$ 32,127**			$ 33,390
Current portion			**$ 1,934**			$ 2,063
Non-current portion			**$ 30,193**			$ 31,327

Amortization of produced and licensed content is as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Produced content				
Predominantly monetized individually	**$ 979**	$ 1,091	**$ 3,370**	$ 2,626
Predominantly monetized as a group	**1,518**	1,824	**4,902**	5,370
	2,497	2,915	**8,272**	7,996
Licensed programming rights and advances	**3,151**	2,830	**10,986**	10,431
Total produced and licensed content costs[(1)]	**$ 5,648**	$ 5,745	**$ 19,258**	$ 18,427

(1) Primarily included in “Costs of services” in the Condensed Consolidated Statements of Income

8. *Pension and Other Benefit Programs*

The components of net periodic benefit cost (income) are as follows:

	Pension Plans				Postretirement Medical Plans			
	Quarter Ended		Nine Months Ended		Quarter Ended		Nine Months Ended	
	Jun. 27, 2026	Jun. 28, 2025	**Jun. 27, 2026**	Jun. 28, 2025	**Jun. 27, 2026**	Jun. 28, 2025	**Jun. 27, 2026**	Jun. 28, 2025
Service costs	**$ 60**	$ 65	**$ 183**	$ 196	**$ —**	$ —	**$ —**	$ —
Other costs (benefits):								
Interest costs	**199**	195	**598**	587	**12**	11	**34**	33
Expected return on plan assets	**(306)**	(290)	**(918)**	(871)	**(15)**	(15)	**(47)**	(45)
Amortization of previously deferred service costs (credits)	**1**	—	**4**	2	**(22)**	(22)	**(67)**	(67)
Recognized net actuarial loss (gain)	**24**	62	**72**	185	**(6)**	(8)	**(20)**	(22)
Total other costs (benefits)	**(82)**	(33)	**(244)**	(97)	**(31)**	(34)	**(100)**	(101)
Net periodic benefit cost (income)	**$ (22)**	$ 32	**$ (61)**	$ 99	**$ (31)**	$ (34)	**$ (100)**	$ (101)

9. *Earnings Per Share*

Diluted earnings per share amounts are based upon the weighted average number of common and common equivalent shares outstanding during the period and are calculated using the treasury stock method for equity-based compensation awards (Awards). A reconciliation of the weighted average number of common and common equivalent shares outstanding and the number of Awards excluded from the diluted earnings per share calculation, as they were anti-dilutive, are as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Shares (in millions):				
Weighted average number of common and common equivalent shares outstanding (basic)	**1,738**	1,799	**1,763**	1,806
Weighted average dilutive impact of Awards	**5**	6	**6**	6
Weighted average number of common and common equivalent shares outstanding (diluted)	**1,743**	1,805	**1,769**	1,812
Awards excluded from diluted earnings per share	**15**	17	**14**	15

10. *Equity*

The Company declared the following dividends in fiscal 2026 and 2025:

Per Share	Amount	Payment Date
$0.75	$1.3 billion	July 22, 2026
$0.75	$1.3 billion	January 15, 2026
$0.50	$0.9 billion	July 23, 2025
$0.50	$0.9 billion	January 16, 2025

Share Repurchase Program

Effective February 7, 2024, the Board of Directors authorized the Company to repurchase a total of 400 million shares of its common stock. During the quarter and nine months ended June 27, 2026, the Company repurchased 17 million and 68 million shares of its common stock for $1.7 billion and $7.2 billion, respectively. During the quarter and nine months ended June 28, 2025, the Company repurchased 7 million and 24 million shares of its common stock for $0.7 billion and $2.5 billion, respectively. As of June 27, 2026, the Company had remaining authorization in place to repurchase approximately 271 million additional shares. The repurchase program does not have an expiration date.

The following tables summarize the changes in each component of accumulated other comprehensive income (loss) (AOCI) including our proportional share of equity method investee amounts:

AOCI, before tax	Market Value Adjustments for Hedges	Unrecognized Pension and Postretirement Medical Expense	Foreign Currency Translation and Other	AOCI
Third quarter of fiscal 2026				
Balance at March 28, 2026	$ (276)	$ (1,901)	$ (1,392)	$ (3,569)
Quarter Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	(30)	(3)	(11)	(44)
Reclassifications of realized net (gains) losses to net income	92	(4)	—	88
Balance at June 27, 2026	**$ (214)**	**$ (1,908)**	**$ (1,403)**	**$ (3,525)**
Third quarter of fiscal 2025				
Balance at March 29, 2025	$ (178)	$ (2,184)	$ (1,147)	$ (3,509)
Quarter Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	(433)	—	235	(198)
Reclassifications of realized net (gains) losses to net income	(74)	33	—	(41)
Balance at June 28, 2025	$ (685)	$ (2,151)	$ (912)	$ (3,748)
Nine months ended fiscal 2026				
Balance at September 27, 2025	$ (549)	$ (1,901)	$ (1,085)	$ (3,535)
Nine Months Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	94	5	(318)	(219)
Reclassifications of realized net (gains) losses to net income	241	(12)	—	229
Balance at June 27, 2026	**$ (214)**	**$ (1,908)**	**$ (1,403)**	**$ (3,525)**
Nine months ended fiscal 2025				
Balance at September 28, 2024	$ (319)	$ (2,243)	$ (1,855)	$ (4,417)
Nine Months Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	(87)	(7)	39	(55)
Reclassifications of realized net (gains) losses to net income	(279)	99	—	(180)
Star India Transaction	—	—	904	904
Balance at June 28, 2025	$ (685)	$ (2,151)	$ (912)	$ (3,748)

Tax on AOCI	Market Value Adjustments for Hedges	Unrecognized Pension and Postretirement Medical Expense	Foreign Currency Translation and Other	AOCI
Third quarter of fiscal 2026				
Balance at March 28, 2026	$ 55	$ 448	$ 115	$ 618
Quarter Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	8	—	11	19
Reclassifications of realized net (gains) losses to net income	(21)	1	—	(20)
Balance at June 27, 2026	**$ 42**	**$ 449**	**$ 126**	**$ 617**
Third quarter of fiscal 2025				
Balance at March 29, 2025	$ 39	$ 515	$ 78	$ 632
Quarter Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	99	—	(41)	58
Reclassifications of realized net (gains) losses to net income	17	(8)	—	9
Balance at June 28, 2025	$ 155	$ 507	$ 37	$ 699
Nine months ended fiscal 2026				
Balance at September 27, 2025	$ 120	$ 446	$ 55	$ 621
Nine Months Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	(23)	—	71	48
Reclassifications of realized net (gains) losses to net income	(55)	3	—	(52)
Balance at June 27, 2026	**$ 42**	**$ 449**	**$ 126**	**$ 617**
Nine months ended fiscal 2025				
Balance at September 28, 2024	$ 71	$ 531	$ 116	$ 718
Nine Months Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	19	—	(21)	(2)
Reclassifications of realized net (gains) losses to net income	65	(24)	—	41
Star India Transaction	—	—	(58)	(58)
Balance at June 28, 2025	$ 155	$ 507	$ 37	$ 699

AOCI, after tax	Market Value Adjustments for Hedges	Unrecognized Pension and Postretirement Medical Expense	Foreign Currency Translation and Other	AOCI
Third quarter of fiscal 2026				
Balance at March 28, 2026	$ (221)	$ (1,453)	$ (1,277)	$ (2,951)
Quarter Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	(22)	(3)	—	(25)
Reclassifications of realized net (gains) losses to net income	71	(3)	—	68
Balance at June 27, 2026	**$ (172)**	**$ (1,459)**	**$ (1,277)**	**$ (2,908)**
Third quarter of fiscal 2025				
Balance at March 29, 2025	$ (139)	$ (1,669)	$ (1,069)	$ (2,877)
Quarter Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	(334)	—	194	(140)
Reclassifications of realized net (gains) losses to net income	(57)	25	—	(32)
Balance at June 28, 2025	$ (530)	$ (1,644)	$ (875)	$ (3,049)
Nine months ended fiscal 2026				
Balance at September 27, 2025	$ (429)	$ (1,455)	$ (1,030)	$ (2,914)
Nine Months Ended June 27, 2026:				
Unrealized gains (losses) arising during the period	71	5	(247)	(171)
Reclassifications of realized net (gains) losses to net income	186	(9)	—	177
Balance at June 27, 2026	**$ (172)**	**$ (1,459)**	**$ (1,277)**	**$ (2,908)**
Nine months ended fiscal 2025				
Balance at September 28, 2024	$ (248)	$ (1,712)	$ (1,739)	$ (3,699)
Nine Months Ended June 28, 2025:				
Unrealized gains (losses) arising during the period	(68)	(7)	18	(57)
Reclassifications of realized net (gains) losses to net income	(214)	75	—	(139)
Star India Transaction	—	—	846	846
Balance at June 28, 2025	$ (530)	$ (1,644)	$ (875)	$ (3,049)

Details about AOCI components reclassified to net income are as follows:

Gain (loss) in net income:	Affected line item in the Condensed Consolidated Statements of Income:	Quarter Ended		Nine Months Ended	
		June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Market value adjustments, primarily cash flow hedges	Primarily revenue	**$ (92)**	$ 74	**$ (241)**	$ 279
Estimated tax	Income taxes	**21**	(17)	**55**	(65)
		(71)	57	**(186)**	214
Pension and postretirement medical expense	Interest expense, net	**4**	(33)	**12**	(99)
Estimated tax	Income taxes	**(1)**	8	**(3)**	24
		3	(25)	**9**	(75)
Total reclassifications for the period		**$ (68)**	$ 32	**$ (177)**	$ 139

11. *Equity-Based Compensation*

Equity-based compensation expense related to stock options and restricted stock units (RSUs) is as follows:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Stock options	**$ 21**	$ 18	**$ 62**	$ 51
RSUs	**402**	339	**1,098**	953
Total equity-based compensation expense[1]	**$ 423**	$ 357	**$ 1,160**	$ 1,004
Equity-based compensation expense capitalized during the period	**$ 49**	$ 52	**$ 146**	$ 142

(1) Equity-based compensation expense is net of capitalized equity-based compensation and estimated forfeitures and excludes amortization of previously capitalized equity-based compensation costs.

Unrecognized compensation cost related to unvested stock options and RSUs was $0.1 billion and $2.2 billion, respectively, as of June 27, 2026.

During the nine months ended June 27, 2026, the Company made equity compensation grants for Disney stock consisting of 2.8 million stock options and 16.0 million RSUs with weighted average grant date fair values of $37 and $113, respectively. During the nine months ended June 28, 2025, the weighted average grant date fair values for stock options and RSUs were $38 and $108, respectively.

12. *Commitments and Contingencies*

Legal Matters

Securities Actions

On May 12, 2023, a private securities class action lawsuit was filed in the U.S. District Court for the Central District of California against the Company, its former Chief Executive Officer, Robert Chapek, its former Chief Financial Officer, Christine M. McCarthy, and the former Chairman of the Disney Media and Entertainment Distribution segment, Kareem Daniel on behalf of certain purchasers of securities of the Company (the Securities Class Action). On November 6, 2023, a consolidated complaint was filed in the same action, adding Robert Iger, the Company's former Chief Executive Officer, as a defendant. Claims in the Securities Class Action include (i) violations of Section 10(b) of the Exchange Act and Rule 10b-5 promulgated thereunder against all defendants, (ii) violations of Section 20A of the Exchange Act against Iger and McCarthy, and (iii) violations of Section 20(a) of the Exchange Act against all defendants. Plaintiffs in the Securities Class Action allege purported misstatements and omissions concerning, and a scheme

to conceal, accurate costs and subscriber growth of the Disney+ platform. Plaintiffs seek unspecified damages, plus interest and costs and fees. The Company intends to defend against the lawsuit vigorously. The Company filed a motion to dismiss the complaint for failure to state a claim on December 21, 2023,

which was granted in part (dismissing the Section 20A claim against Iger) and otherwise denied on February 19, 2025. On March 28, 2025, the Company filed a motion for judgment on the pleadings, which was denied on May 21, 2025. The Company filed a petition for a writ of mandamus to the Ninth Circuit Court of Appeals, which was denied on July 18, 2025. The district court has set trial for November 16, 2027, and discovery is currently in progress. At this time we cannot reasonably estimate the amount of any possible loss.

On December 8, 2025, a private securities lawsuit was filed in the U.S. District Court for the Central District of California against the Company and certain former officers by Union Asset Management Holding AG and GIC Private Limited (the Union Asset Action). The Union Asset Action asserts the same claims and is based on substantially the same factual allegations and time period as the Securities Class Action, and seeks unspecified monetary damages. On January 2, 2026, the parties filed a joint stipulation to stay the Union Asset Action until the Securities Class Action concludes. The court granted the stay on March 3, 2026. The Company intends to defend against this lawsuit vigorously. The lawsuit is in the early stages, and at this time we cannot reasonably estimate the amount of any possible loss.

Derivative Actions

Ten shareholder derivative complaints have been filed against the Company and certain current and former officers and directors. Each of these actions asserts various claims including breach of fiduciary duty, unjust enrichment, abuse of control, gross mismanagement, waste, insider selling, and violations of federal securities laws based on substantially similar factual allegations as those asserted in the pending Securities Class Action.

- On August 4, 2023, and December 15, 2023, two shareholder derivative complaints were filed in the U.S. District Court for the Central District of California by Hugues Gervat and Audrey McAdams, respectively. On April 29, 2024, these actions were consolidated (the Consolidated Derivative Action). The Consolidated Derivative Action is currently stayed until August 21, 2026.
- On August 23, 2023, Stourbridge Investments LLC filed a shareholder derivative complaint in the U.S. District Court for the District of Delaware. On October 24, 2023, the action was voluntarily dismissed and, on November 16, 2023, refiled in the Delaware Court of Chancery. The Stourbridge action is currently stayed until the court in the Securities Class Action rules upon any motion for summary judgment.
- On June 27, 2025, Thomas Payne filed a shareholder derivative complaint in the Delaware Court of Chancery. The Payne action is currently stayed until the court in the Securities Class Action rules upon any motion for summary judgment.
- On November 5, 2025, Martin Siegel filed a shareholder derivative complaint in the Delaware Court of Chancery. The Siegel action is currently stayed until the court in the Securities Class Action rules upon any motion for summary judgment.
- On November 14, 2025, Balraj Paul, the Montini Family Trust, and Dorothy Keto filed a shareholder derivative complaint in the U.S. District Court for the Central District of California. On January 14, 2026, the Paul action was consolidated into the Consolidated Derivative Action, which is stayed until August 21, 2026.
- On February 24, 2026, Sean Martinez filed a shareholder derivative complaint in the Delaware Court of Chancery. On April 16, 2026, the Martinez action was stayed until the court in the Securities Class Action rules upon the motion for summary judgment.
- On March 10, 2026, Karen Gioli filed a shareholder derivative complaint in the U.S. District Court for the Central District of California. On May 29, 2026, the Gioli action was stayed until the stay is lifted in the Securities Class Action.
- On May 8, 2026, Donna Hickok filed a shareholder derivative complaint in the Delaware Court of Chancery. On June 8, 2026, the Hickok action was stayed until the court in the Securities Class Action rules upon any motion for summary judgment.
- On July 24, 2026, William Ballard filed a shareholder derivative complaint in the Delaware Court of Chancery.

The actions seek declarative and injunctive relief, an award of unspecified damages to The Walt Disney Company and other costs and fees. The Company intends to defend against these lawsuits vigorously. The lawsuits are in the early stages, and at this time we cannot reasonably estimate the amount of any possible loss.

Antitrust and Other Actions

On November 18, 2022, a private antitrust putative class action lawsuit was filed in the U.S. District Court for the Northern District of California against the Company on behalf of a putative class of certain subscribers to YouTube TV (the Biddle Action). The plaintiffs in the Biddle Action asserted a claim under Section 1 of the Sherman Act based on allegations that Disney uses certain pricing and packaging provisions in its carriage agreements with vMVPDs to increase prices for and reduce output of certain services offered by vMVPDs. On November 30, 2022, a second private antitrust putative class action lawsuit was filed in the U.S. District Court for the Northern District of California against the Company on behalf of a putative class of certain subscribers to DirecTV Stream (the Fendelander Action), making similar allegations. The Company filed motions to dismiss for failure to state a claim in both the Biddle Action and Fendelander Action on January 31, 2023. On September 30, 2023, the court issued an order granting in part and denying in part the Company's motions to dismiss both cases and, on October 13, 2023, the court issued an order consolidating both cases. On October 16, 2023, plaintiffs filed a consolidated amended class action complaint (the Consolidated Complaint). The Consolidated Complaint asserts claims under Section 1 of the Sherman Act and certain Arizona, California, Florida, Illinois, Iowa, Massachusetts, Michigan, Nevada, New York, North Carolina, and Tennessee antitrust and consumer protection laws based on substantially similar allegations as the Biddle Action and the Fendelander Action. The Consolidated Complaint seeks injunctive relief, unspecified money damages and costs and fees. The Company filed a motion to dismiss the Consolidated Complaint for failure to state a claim on December 1, 2023. On June 25, 2024, the Court granted in part and denied in part the Company's motion to dismiss the Consolidated Complaint.

On January 14, 2025, a private antitrust putative class action lawsuit was filed in the U.S. District Court for the Southern District of New York against the Company on behalf of a putative class of certain subscribers to fuboTV (the Unger Action), making similar allegations to those in the now-consolidated Biddle and Fendelander Actions (Biddle/Fendelander Action). The plaintiffs in the Unger Action also alleged that Disney impermissibly bundles ESPN with other Disney networks and unjustly enriched itself. The Unger Action has since been transferred to the Northern District of California with the court finding it related to the Biddle/Fendelander Action. The Unger plaintiffs filed an amended complaint on April 28, 2025, adding a named plaintiff and alleging essentially the same antitrust theories under the Sherman Act and the antitrust and consumer protection laws of thirty-seven states, the District of Columbia and Puerto Rico. The Unger plaintiffs seek damages and injunctive relief, including an injunction requiring the Company to segregate or divest any interest in Fubo and Hulu, or in the alternative, business assets relating to Fubo and Hulu + Live TV.

On May 30, 2025, the plaintiffs in the Biddle/Fendelander Action filed a proposed Second Consolidated Amended Complaint, adding a class of fuboTV subscribers, a Clayton Act § 7 claim challenging the Company's acquisition of fuboTV on behalf of fuboTV subscribers, and a claim under Sherman Act § 2. On June 5, 2025, the Company and plaintiffs in the Biddle/Fendelander Action reached a settlement in principle to settle all claims on behalf of all YouTube TV, DirecTV Stream and fuboTV subscribers for an amount that is not material for the Company. The settlement was contingent on Plaintiffs' Counsel in the Biddle/Fendelander Action (Biddle/Fendelander Counsel) obtaining or having authority to settle claims on behalf of all three subscriber classes, Court approval, and other contingencies. On June 10, 2025, the Court issued an order consolidating the Unger Action with the Biddle/Fendelander Action.

On July 21, 2025, the Court issued an order appointing Biddle/Fendelander Counsel to serve as interim lead counsel for the putative classes of YouTube TV and DirecTV Stream subscribers, and Unger Counsel to serve as interim lead counsel for the putative class of fuboTV subscribers, thereby resulting in Biddle/Fendelander Counsel not having authority to settle on behalf of the three putative classes of subscribers as required by the settlement in principle.

At a joint mediation held on October 3, 2025, the Company and plaintiffs in the Biddle/Fendelander Action reached a settlement in principle to settle all claims on behalf of all YouTube TV and DirecTV Stream subscribers for an amount that is not material for the Company. The settlement is contingent on Biddle/Fendelander Counsel obtaining Court approval and other contingencies. The Court issued an order granting preliminary approval of the settlement on March 31, 2026. The motion for final approval of the settlement is due on October 27, 2026, and the final approval hearing is scheduled for January 14, 2027.

The Company and Unger Counsel did not reach a settlement at the October 3, 2025 mediation. The Company filed a motion to compel arbitration of individual claims and dismiss class claims in the Unger Action on December 19, 2025. The Court heard argument on the Company's motion to compel arbitration of individual claims and dismiss class claims on March 19, 2026, and the motion is still pending. The Company intends to continue to defend against the lawsuit vigorously. At this time, we expect any loss in the Unger Action would be in an amount that is not material for the Company.

On January 2, 2026, in litigation filed by the Company on August 28, 2025 asserting breach of contract claims against DISH Network L.L.C. (DISH) in the U.S. District Court for the Southern District of New York, DISH filed antitrust counterclaims against the Company. DISH filed amended counterclaims against the Company on March 13, 2026. DISH asserts a tying claim under Sherman Act § 1 and New York's Donnelly Act challenging certain provisions in the Company's carriage

agreement with DISH; claims under Sherman Act § 1 challenging an ESPN / Fox One bundle, the creation of Fubo Sports, and the Company's acquisition of a controlling share of Fubo; a claim under Clayton Act § 7 challenging the Company's acquisition of a controlling share of Fubo; and a claim under Sherman Act § 2 alleging the Company engaged in a pattern of conduct in an attempt to monopolize an alleged market for skinny sports bundles. DISH also asserts breach-of-contract counterclaims, contending that Company-affiliated entities violated their obligations under certain most-favored-nation provisions in the operative carriage agreement. The Company moved to dismiss the antitrust and certain breach-of-contract amended counterclaims on March 27, 2026. That motion remains pending. On July 14, 2026, the Court stayed both sides' claims pending the resolution of DISH's bankruptcy proceedings. The Company intends to prosecute its claims and defend against these counterclaims vigorously. The lawsuit is in its early stages, and at this time we cannot reasonably estimate the amount of any potential loss.

The Company, together with, in some instances, certain of its directors and officers, is a defendant in various other legal actions incident to the conduct of its businesses, including streaming services which are subject to patent infringement claims and litigation for which adverse results may include payment of substantial licensing fees and monetary awards, as well as orders preventing us from offering or requiring us to change certain features, functionalities or services, which could harm our businesses and in aggregate negatively impact our results of operations. Management does not believe that the Company has incurred a probable material loss by reason of any of those actions.

Other

In the second quarter of fiscal 2026, the Company entered into license agreements for the sports rights necessary to operate NFL Network and NFL RedZone through 2033.

13. *Fair Value Measurements*

The Company's assets and liabilities measured at fair value are summarized in the following tables by fair value measurement level:

	Fair Value Measurement at June 27, 2026			
	Level 1	Level 2	Level 3	Total
Assets				
Investments	$ 31	$ 80	$ —	$ 111
Derivatives				
Foreign exchange	—	756	—	756
Other	—	11	—	11
Liabilities				
Derivatives				
Interest rate	—	(767)	—	(767)
Foreign exchange	—	(598)	—	(598)
Other	—	(13)	—	(13)
Other	—	(734)	—	(734)
Total recorded at fair value	$ 31	$ (1,265)	$ —	$ (1,234)
Fair value of borrowings	$ —	$ 39,434	$ 3,259	$ 42,693

	Fair Value Measurement at September 27, 2025			
	Level 1	Level 2	Level 3	Total
Assets				
Investments	$ —	$ 89	$ —	$ 89
Derivatives				
Foreign exchange	—	816	—	816
Other	—	5	—	5
Liabilities				
Derivatives				
Interest rate	—	(762)	—	(762)
Foreign exchange	—	(926)	—	(926)
Other	—	(1)	—	(1)
Other	—	(668)	—	(668)
Total recorded at fair value	$ —	$ (1,447)	$ —	$ (1,447)
Fair value of borrowings	$ —	$ 36,976	$ 2,111	$ 39,087

The fair values of Level 2 investments are primarily determined based on an internal valuation model that uses observable inputs such as stock trading price, volatility and risk free rate.

The fair values of Level 2 derivatives are primarily determined by internal discounted cash flow models that use observable inputs such as interest rates, yield curves and foreign currency exchange rates. The Company's derivative financial instruments are discussed in Note 14.

Level 2 other liabilities are primarily arrangements that are valued based on the fair value of underlying investments, which are generally measured using Level 1 and Level 2 fair value techniques.

Level 2 borrowings, which include commercial paper, U.S. dollar denominated notes and certain foreign currency denominated borrowings, are valued based on quoted prices for similar instruments in active markets or identical instruments in markets that are not active.

Level 3 borrowings include the Asia Theme Parks and cruise ship borrowings, which are valued based on the current estimated borrowing costs, prevailing market interest rates and applicable credit risk.

The Company's financial instruments also include cash, cash equivalents, receivables and accounts payable. The carrying values of these financial instruments approximate the fair values.

14. *Derivative Instruments*

The Company's derivative positions measured at fair value (see Note 13) are summarized in the following tables:

	As of June 27, 2026			
	Current Assets	Investments/ Other Assets	Other Current Liabilities	Other Long-Term Liabilities
Derivatives designated as hedges				
Foreign exchange	$ 285	$ 326	$ (266)	$ (123)
Interest rate	—	—	(767)	—
Other	10	1	(2)	—
Derivatives not designated as hedges				
Foreign exchange	87	58	(59)	(150)
Other	—	111	(11)	—
Gross fair value of derivatives	382	496	(1,105)	(273)
Counterparty netting	(318)	(329)	388	259
Cash collateral (received) paid	(10)	—	457	—
Net derivative positions	$ 54	$ 167	$ (260)	$ (14)

	As of September 27, 2025			
	Current Assets	Investments/ Other Assets	Other Current Liabilities	Other Long-Term Liabilities
Derivatives designated as hedges				
Foreign exchange	$ 233	$ 376	$ (407)	$ (208)
Interest rate	—	—	(762)	—
Other	3	2	—	—
Derivatives not designated as hedges				
Foreign exchange	39	168	(49)	(262)
Other	—	89	(1)	—
Gross fair value of derivatives	275	635	(1,219)	(470)
Counterparty netting	(260)	(517)	378	399
Cash collateral (received) paid	—	—	550	10
Net derivative positions	$ 15	$ 118	$ (291)	$ (61)

Interest Rate Risk Management

The Company designates pay-floating interest rate swaps as fair value hedges of fixed-rate borrowings effectively converting fixed-rate borrowings to variable-rate borrowings. The total notional amount of the Company's pay-floating interest rate swaps was $12.0 billion and $10.6 billion at June 27, 2026 and September 27, 2025, respectively.

The following table summarizes fair value hedge adjustments to hedged borrowings:

	Carrying Amount of Hedged Borrowings		Fair Value Adjustments Included in Hedged Borrowings	
	June 27, 2026	September 27, 2025	**June 27, 2026**	September 27, 2025
Borrowings:				
Current	**$ 2,513**	$ 2,954	**$ (27)**	$ (44)
Long-term	**9,281**	7,347	**(672)**	(680)
	$ 11,794	$ 10,301	**$ (699)**	$ (724)

The following amounts are included in "Interest expense, net" in the Condensed Consolidated Statements of Income:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Gain (loss) on:				
Pay-floating swaps	**$ 14**	$ 111	**$ 15**	$ 104
Borrowings hedged with pay-floating swaps	**(14)**	(111)	**(15)**	(104)
Expense associated with interest accruals on pay-floating swaps	**(61)**	(93)	**(209)**	(303)

Foreign Exchange Risk Management

The Company designates foreign exchange forward and option contracts as cash flow hedges of firmly committed and forecasted foreign currency transactions. As of June 27, 2026 and September 27, 2025, the notional amount of the Company's net foreign exchange cash flow hedges was $10.2 billion and $9.3 billion, respectively. Mark-to-market gains and losses on these contracts are deferred in AOCI and are recognized in earnings when the hedged transactions occur, offsetting changes in the value of the foreign currency transactions. Net deferred gains recorded in AOCI for contracts that will mature in the next twelve months total $14 million. The following table summarizes the effect of foreign exchange cash flow hedges on AOCI:

	Quarter Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Gain (loss) recognized in Other Comprehensive Income	**$ (28)**	$ (438)	**$ 65**	$ (87)
Gain (loss) reclassified from AOCI into the Statements of Operations[(1)]	**(96)**	79	**(243)**	289

(1) Primarily recorded in revenue.

The Company may designate cross currency swaps as fair value hedges of foreign currency denominated borrowings. The impact from the change in foreign currency on both the cross currency swap and borrowing is recorded to "Interest expense, net." The impact from interest rate changes is recorded in AOCI and is amortized over the life of the cross currency swap. As of both June 27, 2026 and September 27, 2025, the total notional amount of the Company's designated cross currency swaps was Canadian $1.3 billion ($0.9 billion). The related gains or losses recognized in earnings for the quarters and nine-month periods ended June 27, 2026 and June 28, 2025 were not significant.

Foreign exchange risk management contracts with respect to foreign currency denominated assets and liabilities are not designated as hedges and do not qualify for hedge accounting. The net notional amount of these foreign exchange contracts at June 27, 2026 and September 27, 2025 was $3.1 billion and $3.0 billion, respectively. The related gains or losses recognized in costs and expenses on foreign exchange contracts that mitigated our exposure with respect to foreign currency denominated assets and liabilities for the quarters and nine-month periods ended June 27, 2026 and June 28, 2025 were not significant.

Risk Management – Other Derivatives Not Designated as Hedges

The Company enters into certain other risk management contracts that are not designated as hedges and do not qualify for hedge accounting. These contracts, which include certain total return swap contracts, are intended to offset economic exposures of the Company and are carried at market value with any changes in value recorded in earnings. The net notional amount of these contracts at June 27, 2026 and September 27, 2025 was $0.7 billion and $0.6 billion, respectively. The related gains or losses recognized in earnings for the quarters and nine-month periods ended June 27, 2026 and June 28, 2025 were not significant.

Contingent Features and Cash Collateral

The Company has master netting arrangements by counterparty with respect to certain derivative financial instrument contracts. The Company may be required to post collateral in the event that a net liability position with a counterparty exceeds limits defined by contract and that vary with the Company's credit rating. In addition, these contracts may require a counterparty to post collateral to the Company in the event that a net receivable position with a counterparty exceeds limits defined by contract and that vary with the counterparty's credit rating. If the Company's or the counterparty's credit ratings were to fall below investment grade, such

counterparties or the Company would also have the right to terminate our derivative contracts, which could lead to a net payment to or from the Company for the aggregate net value by counterparty of our

derivative contracts. The aggregate fair value of derivative instruments with credit-risk-related contingent features in a net liability position by counterparty was $0.7 billion and $0.9 billion at June 27, 2026 and September 27, 2025, respectively.

15. *Restructuring and Impairment Charges*

The following amounts are recorded in "Restructuring and impairment charges" in the Condensed Consolidated Statements of Income:

The quarter ended June 27, 2026 included charges of $0.8 billion for an impairment of our investment in A+E Global Media (A+E) and $0.1 billion for severance. The nine-month period ended June 27, 2026 included charges of $1.0 billion for impairments of our investment in A+E and $0.2 billion for severance.

The quarter ended June 28, 2025 included a charge of $0.2 billion for an impairment of our investment in Tata Play Limited. The nine-month period ended June 28, 2025 included charges of $0.2 billion for impairments of our investment in Tata Play Limited, $0.1 billion for impairment of goodwill related to Star India and $0.1 billion for impairments of content.

16. *New Accounting Pronouncements*

Improvements to Income Tax Disclosures

In December 2023, the FASB issued guidance to enhance income tax disclosures. The new guidance requires an expanded effective tax rate reconciliation and the disclosure of cash taxes paid segregated between U.S. federal, U.S. state and foreign, with further disaggregation by jurisdiction if certain thresholds are met, and eliminates certain disclosures related to uncertain tax benefits. The new guidance is applicable to annual periods beginning with the Company's 2026 fiscal year.

Disaggregation of Income Statement Expense

In November 2024, the FASB issued guidance that requires the disclosure of additional information related to certain costs and expenses, including amounts of inventory purchases, employee compensation, and depreciation and amortization included in each income statement line item. The guidance also requires disclosure of the total amount of selling expenses and the Company's definition of selling expenses. The guidance is effective for the Company for annual periods beginning with fiscal year 2028 and for interim periods beginning with fiscal year 2029. The Company is currently assessing the impacts of the new guidance on its financial statement disclosures.

Accounting for Government Grants

In December 2025, the FASB issued guidance that establishes the recognition, measurement and presentation requirements for government grants. The guidance is effective at the beginning of the Company's 2030 fiscal year (with early adoption permitted). The Company is currently assessing the impact this guidance will have on its financial statements and financial statement disclosures.

17. *Subsequent Events*

In July 2026, the Company entered into an agreement to sell its 50% interest in A+E to an affiliate of co-owner Hearst Corporation for approximately $1.2 billion in cash. Closing is currently expected by the end of fiscal 2026, subject to customary closing conditions, including regulatory approvals and government consents.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Item 2: Management's Discussion and Analysis of Financial Condition and Results of Operations

ORGANIZATION OF INFORMATION

Management's Discussion and Analysis provides a narrative of the Company's financial performance and condition that should be read in conjunction with the accompanying financial statements. It includes the following sections:

- Consolidated Results
- Current Quarter Results Compared to Prior-Year Quarter
- Current Nine-Month Period Results Compared to Prior-Year Nine-Month Period
- Seasonality
- Business Segment Results
- Corporate and Unallocated Shared Expenses
- Financial Condition
- Market Risk
- Commitments and Contingencies
- Other Matters
- Supplemental Guarantor Financial Information

CONSOLIDATED RESULTS

(in millions, except per share data)	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025		**June 27, 2026**	June 28, 2025	
Revenues:						
Services	**$ 22,675**	$ 21,214	7 %	**$ 68,565**	$ 64,520	6 %
Products	**2,573**	2,436	6 %	**7,832**	7,441	5 %
Total revenues	**25,248**	23,650	7 %	**76,397**	71,961	6 %
Costs and expenses:						
Cost of services (exclusive of depreciation and amortization)	**(13,674)**	(13,034)	(5) %	**(43,094)**	(40,201)	(7) %
Cost of products (exclusive of depreciation and amortization)	**(1,432)**	(1,498)	4 %	**(4,582)**	(4,547)	(1) %
Selling, general, administrative and other	**(3,968)**	(4,141)	4 %	**(12,162)**	(12,052)	(1) %
Depreciation and amortization	**(1,414)**	(1,332)	(6) %	**(4,135)**	(3,932)	(5) %
Total costs and expenses	**(20,488)**	(20,005)	(2) %	**(63,973)**	(60,732)	(5) %
Restructuring and impairment charges	**(900)**	(185)	>(100) %	**(1,139)**	(437)	>(100) %
Interest expense, net	**(298)**	(324)	8 %	**(813)**	(1,037)	22 %
Equity in the income of investees	**83**	75	11 %	**233**	203	15 %
Income before income taxes	**3,645**	3,211	14 %	**10,705**	9,958	8 %
Income taxes	**(801)**	2,732	nm	**(2,912)**	2,030	nm
Net income	**2,844**	5,943	(52) %	**7,793**	11,988	(35) %
Net income attributable to noncontrolling interests	**(206)**	(681)	70 %	**(506)**	(897)	44 %
Net income attributable to Disney	**$ 2,638**	$ 5,262	(50) %	**$ 7,287**	$ 11,091	(34) %
Diluted earnings per share attributable to Disney	**$ 1.51**	$ 2.92	(48) %	**$ 4.12**	$ 6.12	(33) %

CURRENT QUARTER RESULTS COMPARED TO PRIOR-YEAR QUARTER

Revenues for the quarter increased 7%, or $1.6 billion, to $25.2 billion; net income attributable to Disney decreased to $2.6 billion compared to $5.3 billion in the prior-year quarter; and diluted earnings per share (EPS) attributable to Disney decreased to $1.51 compared to $2.92 in the prior-year quarter. The net income and EPS decreases reflected the comparison to a non-cash tax benefit

recognized upon a change in Hulu's U.S. income tax classification in the prior-year quarter and, to a lesser extent, an impairment of our investment in A+E in the current quarter. These decreases were partially offset by higher operating

income at Entertainment and Experiences in the current quarter and the comparison to a charge for a payment to acquire Hulu in the prior-year quarter (Hulu Charge).

Revenues

Service revenues for the quarter increased 7%, or $1.5 billion, to $22.7 billion, which included an approximate 2 percentage point favorable impact from the Fubo and NFL Transactions. Aside from this impact, service revenues increased due to growth in resorts and vacations and theme park admissions revenue and higher subscription and affiliate fees.

Product revenues for the quarter increased 6%, or $0.1 billion, to $2.6 billion due to growth in parks & experiences merchandise, food and beverage revenue.

Costs and expenses

Cost of services for the quarter increased 5%, or $0.6 billion, to $13.7 billion, which included an approximate 2 percentage point unfavorable impact from the Fubo Transaction and, to a lesser extent, NFL Transaction. Aside from this impact, cost of services increased due to the impact of new guest offerings, inflation and increased volumes at our parks and experiences businesses.

Selling, general, administrative and other costs decreased 4%, or $0.2 billion, to $4.0 billion due to lower marketing costs.

Depreciation and amortization increased 6%, or $0.1 billion, to $1.4 billion primarily due to higher depreciation at Experiences, partially offset by lower amortization of intangible assets.

Restructuring and impairment charges

Charges in the current quarter were $812 million for an impairment of our investment in A+E and $88 million for severance. Charges in the prior-year quarter were $185 million primarily for an impairment of our investment in Tata Play Limited.

Interest expense, net

Interest expense, net is as follows:

	Quarter Ended		
(in millions)	**June 27, 2026**	June 28, 2025	% Change Better (Worse)
Interest expense	**$ (463)**	$ (438)	(6) %
Interest income, investment income and other	**165**	114	45 %
Interest expense, net	**$ (298)**	$ (324)	8 %

The increase in interest expense was driven by higher average debt balances, partially offset by lower effective interest rates.

The increase in interest income, investment income and other was due to a favorable comparison related to pension and postretirement benefit costs, other than service cost.

Income Taxes

	Quarter Ended	
	June 27, 2026	June 28, 2025
Income before income taxes	**$ 3,645**	$ 3,211
Income tax expense (benefit)	**801**	(2,732)
Effective income tax rate	**22.0 %**	(85.1) %

The effective income tax rate was 22.0% in the current quarter compared to negative 85.1% in the prior-year quarter. The prior-year quarter included a $3.3 billion non-cash tax benefit recognized upon a change in Hulu's U.S. income tax classification.

Noncontrolling Interests

(in millions)	Quarter Ended June 27, 2026	Quarter Ended June 28, 2025	% Change Better (Worse)
Net income attributable to noncontrolling interests	**$ (206)**	$ (681)	70 %

The decrease in net income attributable to noncontrolling interests was due to the Hulu Charge in the prior-year quarter.

Net income attributable to noncontrolling interests is determined on income after royalties and management fees, financing costs and income taxes, as applicable.

Certain Items Impacting Results in the Quarter

Results for the quarter ended June 27, 2026 were impacted by the following:

- Restructuring and impairment charges of $900 million
- Acquisition Amortization of $334 million

Results for the quarter ended June 28, 2025 were impacted by the following:

- A $3,277 million non-cash tax benefit recognized upon a change in Hulu's U.S. income tax classification recognized in "Income taxes" and $477 million Hulu Charge recognized in "Net income attributable to noncontrolling interest" (Hulu Transaction Impacts)
- Acquisition Amortization of $395 million
- Restructuring and impairment charges of $185 million

A summary of the impact of these items on EPS is as follows:

(in millions, except per share data)	Pre-Tax Income (Loss)	Tax Benefit (Expense)[1]	After-Tax Income (Loss)	EPS Favorable (Adverse)[2]
Quarter Ended June 27, 2026:				
Restructuring and impairment charges	$ (900)	$ 175	$ (725)	$ (0.41)
Acquisition Amortization	(334)	76	(258)	(0.13)
Total	$ (1,234)	$ 251	$ (983)	$ (0.55)
Quarter Ended June 28, 2025:				
Hulu Transaction Impacts	$ —	$ 3,277	$ 3,277	$ 1.56
Acquisition Amortization	(395)	92	(303)	(0.16)
Restructuring and impairment charges	(185)	43	(142)	(0.08)
Total	$ (580)	$ 3,412	$ 2,832	$ 1.31

(1) Tax benefit (expense) amounts are determined using the tax rate applicable to the individual item.

(2) EPS is net of noncontrolling interest share, where applicable. Total may not equal the sum of the column due to rounding.

CURRENT NINE-MONTH PERIOD RESULTS COMPARED TO PRIOR-YEAR NINE-MONTH PERIOD

Revenues for the current period increased $4.4 billion, to $76.4 billion; net income attributable to Disney decreased $3.8 billion, to $7.3 billion; and EPS decreased to $4.12 from $6.12 in the prior-year period. The net income and EPS decreases were due to the comparison to a tax benefit recognized related to a change in Hulu's U.S. income tax classification, a favorable resolution of a tax matter in the prior-year period, and an impairment of our investment in A+E in the current period. These decreases were partially offset by higher operating income at Experiences in the current period and the comparison to the Hulu Charge in the prior-year period.

Revenues

Service revenues for the current period increased 6%, or $4.0 billion to $68.6 billion, which included an approximate 1 percentage point net favorable impact from the Fubo, NFL and Star India Transactions. Aside from this impact, service revenues increased due to growth in resorts and vacations and theme park admissions revenue, higher subscription and affiliate fees and, to a lesser extent, an increase in content sales.

Product revenues for the current period increased 5%, or $0.4 billion, to $7.8 billion, due to growth in parks & experiences merchandise, food and beverage revenue.

Costs and expenses

Cost of services for the current period increased 7%, or $2.9 billion, to $43.1 billion, which included an approximate 1 percentage point net unfavorable impact from the Fubo, NFL and Star India Transactions. Aside from this impact, cost of services increased due to higher programming and production costs and, to a lesser extent, the impact of new guest offerings, inflation and increased volumes at our parks and experiences businesses.

Selling, general, administrative and other costs increased 1%, or $0.1 billion, to $12.2 billion due to higher marketing costs, partially offset by the comparison to legal settlements in the prior-year period.

Depreciation and amortization increased 5%, or $0.2 billion, to $4.1 billion, driven by higher depreciation at Experiences and Entertainment, partially offset by lower amortization of intangible assets.

Restructuring and impairment charges

Charges in the current period were $959 million for impairments of our investment in A+E and $180 million for severance. Charges in the prior-year period were $185 million primarily for an impairment of our investment in Tata Play Limited, $143 million for impairment of goodwill related to Star India and $109 million for content impairments.

Interest expense, net

Interest expense, net is as follows:

	Nine Months Ended		
(in millions)	**June 27, 2026**	June 28, 2025	% Change Better (Worse)
Interest expense	**$ (1,379)**	$ (1,396)	1 %
Interest income, investment income and other	**566**	359	58 %
Interest expense, net	**$ (813)**	$ (1,037)	22 %

The decrease in interest expense was due to lower average rates, partially offset by higher average debt balances.

The increase in interest income, investment income and other was due to a favorable comparison of pension and postretirement benefit costs, other than service cost, and a net gain on investments in the current period compared to a net loss on investments in the prior-year period.

Equity in the Income of Investees

Income from equity investees increased $30 million, to $233 million from $203 million, driven by a lower loss from the India joint venture, partially offset by a decrease in income from A+E.

Income Taxes

	Nine Months Ended	
	June 27, 2026	June 28, 2025
Income before income taxes	**$ 10,705**	$ 9,958
Income tax expense (benefit)	**2,912**	(2,030)
Effective income tax rate	**27.2 %**	(20.4) %

The effective income tax rate was 27.2% in the current period compared to negative 20.4% in the prior-year period. Significant items impacting the effective income tax rate included the following:

- The current period included an unfavorable impact of approximately 4 percentage points from non-cash tax charges in connection with the Fubo and NFL Transactions.
- The prior-year period included a favorable impact of approximately 33 percentage points from a non-cash tax benefit recognized upon a change in Hulu's U.S. income tax classification and a favorable impact of approximately 12 percentage points from adjustments related to prior-year tax matters, partially offset by a non-cash tax charge of approximately 2 percentage points in connection with the Star India Transaction.

Noncontrolling Interests

(in millions)	Nine Months Ended June 27, 2026	Nine Months Ended June 28, 2025	% Change Better (Worse)
Net income attributable to noncontrolling interests	**$ (506)**	$ (897)	44 %

The decrease in net income attributable to noncontrolling interests was due to the Hulu Charge in the prior-year period, partially offset by the impact of the NFL Transaction in the current period.

Certain Items Impacting Results in the Nine Month Period

Results for the nine months ended June 27, 2026 were impacted by the following:

- Restructuring and impairment charges of $1,139 million
- Acquisition Amortization of $947 million
- Non-cash tax charges resulting from the Fubo Transaction and NFL Transaction of $307 million and $115 million, respectively

Results for the nine months ended June 28, 2025 were impacted by the following:

- Hulu Transaction Impacts of $3,277 million recognized in "Income taxes" and $477 million recognized in "Net income attributable to noncontrolling interests"
- Resolution of a prior-year tax matter of $1,016 million
- Acquisition Amortization of $1,188 million
- Restructuring and impairment charges of $437 million and a non-cash tax charge of $244 million, which was related to the Star India Transaction.

A summary of the impact of these items on EPS is as follows:

(in millions, except per share data)	Pre-Tax Income (Loss)	Tax Benefit (Expense)[1]	After-Tax Income (Loss)	EPS Favorable (Adverse)[2]
Nine Months Ended June 27, 2026:				
Restructuring and impairment charges	$ (1,139)	$ 197	$ (942)	$ (0.53)
Acquisition Amortization	(947)	216	(731)	(0.37)
Non-cash tax charges resulting from the Fubo and NFL Transactions	—	(422)	(422)	(0.22)
Total	$ (2,086)	$ (9)	$ (2,095)	$ (1.13)
Nine Months Ended June 28, 2025:				
Hulu Transaction Impacts	$ —	$ 3,277	$ 3,277	$ 1.55
Resolution of a prior-year tax matter	—	1,016	1,016	0.56
Acquisition Amortization	(1,188)	276	(912)	(0.49)
Restructuring and impairment charges	(437)	(145)	(582)	(0.32)
Total	$ (1,625)	$ 4,424	$ 2,799	$ 1.30

[1] Tax benefit (expense) amounts are determined using the tax rate applicable to the individual item.

[2] EPS is net of noncontrolling interest share, where applicable. Total may not equal the sum of the column due to rounding.

SEASONALITY

The Company's businesses are subject to the effects of seasonality. Consequently, the operating results for the nine months ended June 27, 2026 for each business segment, and for the Company as a whole, are not necessarily indicative of results to be expected for the full year.

Entertainment revenues are subject to seasonal and other cyclical advertising patterns, changes in viewership and subscriber levels, timing and performance of theatrical releases, and the timing of and demand for film and television programs. In general, domestic advertising revenues are typically somewhat higher during the fall and somewhat lower during the summer months and domestic advertising revenue is typically higher during election cycles. Subscription and affiliate fees vary with the subscriber trends of multi-channel video programming distributors (i.e. cable, satellite telecommunications and digital over-the-

top service providers) and our streaming services. Theatrical release dates are determined by several factors, including competition and the timing of vacation and holiday periods.

Sports revenues are subject to seasonal advertising patterns, changes in viewership and subscriber levels, and the availability of and demand for sports programming. Advertising revenues generated from sports programming and the recognition of sports rights cost amortization are also impacted by the timing of sports seasons and events, which timing may vary throughout the year or may take place periodically (e.g. biannually, quadrennially).

Experiences revenues fluctuate with changes in theme park attendance and resort occupancy resulting from the seasonal nature of vacation travel and leisure activities, the opening of new guest offerings and pricing and promotional offers. Peak attendance and resort occupancy generally occur during the summer months when school vacations occur and during early winter and spring holiday periods. In addition, theme park and resort revenues may be higher during significant celebrations such as theme park or character anniversaries and lower in the periods preceding or following such celebrations. Consumer products revenue fluctuates with consumer purchasing behavior, which generally results in higher revenues during the Company's first and fourth fiscal quarters. In addition, licensing revenues fluctuate with the timing and performance of theatrical and game releases and direct-to-consumer content.

BUSINESS SEGMENT RESULTS

The Company evaluates the performance of its operating businesses based on segment revenue and segment operating income.

The following table presents revenues from our operating segments:

	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025		**June 27, 2026**	June 28, 2025	
Entertainment	**$ 11,345**	$ 10,704	6 %	**$ 34,669**	$ 32,258	7 %
Sports	**4,500**	4,308	4 %	**14,018**	13,692	2 %
Experiences	**9,968**	9,086	10 %	**29,461**	27,390	8 %
Eliminations [1]	**(565)**	(448)	(26) %	**(1,751)**	(1,379)	(27) %
Revenues	**$ 25,248**	$ 23,650	7 %	**$ 76,397**	$ 71,961	6 %

[1] Reflects fees paid by (a) the entertainment vMVPD services to the sports and entertainment linear networks for the right to air the networks on the Hulu Live TV and Fubo services and (b) the Entertainment segment to the Sports segment to program certain sports content on ABC Network and Disney+. The increase in eliminations for the quarter and nine-month period was due to the Fubo and NFL Transactions.

The following table presents income from our operating segments and other components of income before income taxes:

	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025		**June 27, 2026**	June 28, 2025	
Entertainment operating income	**$ 1,680**	$ 1,022	64 %	**$ 4,116**	$ 3,983	3 %
Sports operating income	**858**	1,037	(17) %	**1,701**	1,971	(14) %
Experiences operating income	**3,017**	2,516	20 %	**8,941**	8,117	10 %
Corporate and unallocated shared expenses	**(334)**	(410)	19 %	**(1,018)**	(1,265)	20 %
Equity in the loss of India joint venture	**(44)**	(50)	12 %	**(136)**	(186)	27 %
Restructuring and impairment charges	**(900)**	(185)	>(100) %	**(1,139)**	(437)	>(100) %
Interest expense, net	**(298)**	(324)	8 %	**(813)**	(1,037)	22 %
Acquisition Amortization	**(334)**	(395)	15 %	**(947)**	(1,188)	20 %
Income before income taxes	**$ 3,645**	$ 3,211	14 %	**$ 10,705**	$ 9,958	8 %

Depreciation expense is as follows:

(in millions)	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025		**June 27, 2026**	June 28, 2025	
Entertainment	**$ 205**	$ 185	(11) %	**$ 648**	$ 540	(20) %
Sports	**29**	13	>(100) %	**81**	34	>(100) %
Experiences						
Domestic	**563**	487	(16) %	**1,631**	1,438	(13) %
International	**231**	197	(17) %	**656**	576	(14) %
Total Experiences	**794**	684	(16) %	**2,287**	2,014	(14) %
Corporate	**76**	84	10 %	**244**	244	— %
Total depreciation expense	**$ 1,104**	$ 966	(14) %	**$ 3,260**	$ 2,832	(15) %

Amortization of intangible assets is as follows:

(in millions)	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025		**June 27, 2026**	June 28, 2025	
Entertainment	**$ 13**	$ 13	— %	**$ 39**	$ 39	— %
Experiences	**27**	27	— %	**81**	81	— %
Acquisition amortization - intangible assets	**270**	326	17 %	**755**	980	23 %
Total amortization of intangible assets	**$ 310**	$ 366	15 %	**$ 875**	$ 1,100	20 %

BUSINESS SEGMENT RESULTS - Current Quarter Results Compared to Prior-Year Quarter

Entertainment

Operating results for Entertainment are as follows:

(in millions)	Quarter Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Revenues			
Subscription and affiliate fees	**$ 7,545**	$ 6,765	12 %
Advertising	**1,625**	1,641	(1) %
Content sales	**1,596**	1,698	(6) %
Other	**579**	600	(4) %
Total revenues	**11,345**	10,704	6 %
Operating expenses	**(7,238)**	(7,098)	(2) %
Selling, general, administrative and other	**(2,301)**	(2,488)	8 %
Depreciation and amortization	**(218)**	(198)	(10) %
Equity in the income of investees	**92**	102	(10) %
Operating Income	**$ 1,680**	$ 1,022	64 %

Revenues - Subscription and affiliate fees

Growth in subscription and affiliate fees was due to increases of 4% from the Fubo Transaction, 3% from higher effective rates, 3% from more subscribers and 1% from a favorable foreign exchange impact.

Revenues - Advertising

The decrease in advertising revenue was attributable to a decrease of 4% from lower rates, partially offset by increases of 1% from more impressions and 1% from the Fubo Transaction.

Revenues - Content sales

Lower content sales revenue was due to a decrease of 8% from TV/VOD and home entertainment distribution revenue.

Revenues - Other

The decrease in other revenue was attributable to the impact of our foreign exchange hedging program, partially offset by revenue increases including from higher intersegment allocations of revenues from the Experiences segment reflecting an increase in merchandise licensing royalties.

Operating expenses

(in millions)	Quarter Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Programming and production costs	**$ (5,819)**	$ (5,772)	(1) %
Other operating expenses	**(1,419)**	(1,326)	(7) %
	$ (7,238)	$ (7,098)	(2) %

Programming and production costs reflected increases of 4% from the Fubo Transaction and 2% from our streaming services, which were largely offset by decreases of 3% from lower film cost impairments and 2% from linear networks.

The increase in other operating expenses was attributable to higher technology and distribution costs.

Selling, general, administrative and other

Selling, general, administrative and other costs decreased $187 million, to $2,301 million from $2,488 million, driven by lower marketing costs, partially offset by the Fubo Transaction.

Depreciation and amortization

Depreciation and amortization increased $20 million, to $218 million from $198 million, due to investments in technology.

Equity in the Income of Investees

Income from equity investees decreased $10 million, to $92 million from $102 million, due to lower income from A+E attributable to a decrease in advertising revenue.

Operating Income from Entertainment

Segment operating income increased $658 million, to $1,680 million from $1,022 million, due to an increase in subscription and affiliate fees.

Items Excluded from Segment Operating Income Related to Entertainment

The following table presents supplemental information for items related to the Entertainment segment that are excluded from segment operating income:

(in millions)	Quarter Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Restructuring and impairment charges[1]	**$ (872)**	$ (185)	>(100) %
Acquisition Amortization[2]	**(300)**	(320)	6 %

(1) Charges in the current quarter were $812 million for an impairment of our investment in A+E and $60 million for severance. Charges in the prior-year quarter were primarily for an impairment of our investment in Tata Play Limited.

(2) In the current quarter, amortization of intangible assets was $236 million and amortization of step-up on film and television costs was $64 million. In the prior-year quarter, amortization of intangible assets was $251 million and amortization of step-up on film and television costs was $66 million.

Sports

Operating results for Sports are as follows:

(in millions)	Quarter Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Revenues			
Subscription and affiliate fees	**$ 3,142**	$ 2,899	8 %
Advertising	**1,204**	1,148	5 %
Other	**154**	261	(41) %
Total revenues	**4,500**	4,308	4 %
Operating expenses	**(3,304)**	(3,008)	(10) %
Selling, general, administrative and other	**(344)**	(276)	(25) %
Depreciation and amortization	**(29)**	(13)	>(100) %
Equity in the income of investees	**35**	26	35 %
Operating Income	**$ 858**	$ 1,037	(17) %

Revenues - Subscription and affiliate fees

Growth in subscription and affiliate fees reflected increases of 5% from higher effective rates and 4% from the NFL Transaction.

Revenues - Advertising

Advertising revenue growth was due to higher impressions.

Revenues - Other

The decrease in other revenue was primarily due to the comparison to Ultimate Fighting Championship (UFC) pay-per-view revenue in the prior-year quarter. Our UFC rights expired in December 2025.

Operating expenses

(in millions)	Quarter Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Programming and production costs	**$ (3,050)**	$ (2,762)	(10) %
Other operating expenses	**(254)**	(246)	(3) %
	$ (3,304)	$ (3,008)	(10) %

Programming and production costs increased in the current quarter compared to the prior-year quarter primarily due to contractual rate increases, costs for new sports rights and an impact from the timing of rights costs recognition as a result of the NBA contract renewal. These increases were partially offset by the absence of certain rights costs compared to the prior-year quarter, primarily for UFC content. The NBA contract renewal resulted in a shift of costs from the first half of the year to the third quarter.

Selling, general, administrative and other

Selling, general, administrative and other costs increased $68 million, to $344 million from $276 million, primarily due to higher sales and marketing costs.

Depreciation and amortization

Depreciation and amortization increased $16 million, to $29 million from $13 million, due to investments in technology.

Operating Income from Sports

Segment operating income decreased $179 million, to $858 million from $1,037 million, as an increase in subscription and affiliate fees was more than offset by higher programming and production costs.

Items Excluded from Segment Operating Income Related to Sports

The following table presents supplemental information for items related to the Sports segment that are excluded from segment operating income:

(in millions)	Quarter Ended June 27, 2026	Quarter Ended June 28, 2025	% Change Better (Worse)
Acquisition Amortization[1]	**$ (33)**	$ (74)	55 %
Restructuring and impairment charges	**(10)**	—	nm

[1] Represents amortization of intangible assets.

Experiences

Operating results for the Experiences segment are as follows:

(in millions)	Quarter Ended June 27, 2026	Quarter Ended June 28, 2025	% Change Better (Worse)
Revenues			
Theme park admissions	**$ 3,253**	$ 2,996	9 %
Resorts and vacations	**2,766**	2,373	17 %
Parks & Experiences merchandise, food and beverage	**2,284**	2,143	7 %
Merchandise licensing and retail	**1,056**	979	8 %
Parks licensing and other	**609**	595	2 %
Total revenues	**9,968**	9,086	10 %
Operating expenses	**(5,065)**	(4,808)	(5) %
Selling, general, administrative and other	**(1,065)**	(1,051)	(1) %
Depreciation and amortization	**(821)**	(711)	(15) %
Operating Income	**$ 3,017**	$ 2,516	20 %

Revenues - Theme park admissions

Theme park admissions revenue growth was due to increases of 5% from higher average per capita ticket revenue and 3% from increased attendance.

Revenues - Resorts and vacations

Higher resorts and vacations revenue was attributable to increases of 10% from additional passenger cruise days, 2% from an increase in average daily hotel room rates and 2% from higher occupied hotel room nights. The increase in passenger cruise days reflected the launches of the *Disney Destiny* in November 2025 and the *Disney Adventure* in March 2026.

Revenues - Parks & Experiences merchandise, food and beverage

Parks & Experiences merchandise, food and beverage revenue growth was due to increases of 4% from volume growth and 3% from higher average guest spending.

Revenues - Merchandise licensing and retail

Higher merchandise licensing and retail revenue was due to an increase of 10% from merchandise licensing, partially offset by a decrease of 2% from an unfavorable foreign exchange impact.

Key Metrics

In addition to revenue, costs and operating income, management uses the following key metrics to analyze trends and evaluate the overall performance of our Parks & Experiences, and we believe these metrics are useful to investors in analyzing the businesses:

	Quarter Ended	
	June 27, 2026	June 28, 2025
Global guests[1] increase (decrease)	**4 %**	1 %

	Domestic		International[2]	
	Quarter Ended		Quarter Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Parks				
Increase (decrease)				
Attendance[3]	**3 %**	— %	**— %**	1 %
Per Capita Guest Spending[4]	**4 %**	8 %	**7 %**	2 %
Hotels				
Occupancy[5]	**91 %**	86 %	**85 %**	87 %
Available Hotel Room Nights (in thousands)[6]	**2,565**	2,566	**797**	791
Change in Per Room Guest Spending[7]	**3 %**	2 %	**7 %**	(3) %

(1) Global guests is used to analyze combined volume trends across our theme parks and cruise businesses and is defined as the sum of theme park attendance and passenger cruise days. Passenger cruise days is the number of passengers on a cruise multiplied by the number of days in the voyage.

(2) Per capita guest spending growth rate and per room guest spending growth rate exclude the impact of changes in foreign exchange rates.

(3) Attendance is used to analyze volume trends at our theme parks and is based on the number of unique daily entries, i.e. a person visiting multiple theme parks in a single day is counted only once. Our attendance count includes complimentary entries but excludes entries by children under the age of three.

(4) Per capita guest spending is used to analyze guest spending trends and is defined as total revenue from ticket sales and sales of food, beverage and merchandise in our theme parks, divided by total theme park attendance.

(5) Occupancy is used to analyze the usage of available capacity at hotels and is defined as the number of room nights occupied by guests as a percentage of available hotel room nights.

(6) Available hotel room nights is defined as the total number of room nights that are available at our hotels and at Disney Vacation Club (DVC) properties located at our theme parks and resorts that are not utilized by DVC members. Available hotel room nights include rooms temporarily taken out of service.

(7) Per room guest spending is used to analyze guest spending at our hotels and is defined as total revenue from room rentals and sales of food, beverage and merchandise at our hotels, divided by total occupied hotel room nights.

Operating expenses

	Quarter Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Operating labor	**$ (2,356)**	$ (2,284)	(3) %
Infrastructure costs	**(953)**	(870)	(10) %
Cost of goods sold and distribution costs	**(721)**	(779)	7 %
Other operating expense	**(1,035)**	(875)	(18) %
	$ (5,065)	$ (4,808)	(5) %

Higher operating labor was due to new guest offerings and inflation. The increase in infrastructure costs was attributable to new guest offerings and higher operations support costs. The decrease in cost of goods sold and distribution costs was due to

tariff refunds, partially offset by volume growth and inflation. Higher other operating expense was primarily due to new guest offerings, volume growth and inflation. New guest offerings include the fleet expansion at Disney Cruise Line.

Depreciation and amortization

Depreciation and amortization increased $110 million, to $821 million from $711 million, primarily due to higher depreciation at our domestic parks and experiences attributable to an increase at Disney Cruise Line.

Operating Income from Experiences

Segment operating income increased $501 million, to $3,017 million from $2,516 million, due to higher revenues at Parks & Experiences and, to a lesser extent, Consumer Products, partially offset by higher costs.

Supplemental revenue and operating income

The following table presents supplemental revenue and operating income detail for the Experiences segment:

	Quarter Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Supplemental revenue detail			
Parks & Experiences			
Domestic	**$ 7,116**	$ 6,403	11 %
International	**1,787**	1,691	6 %
Total Parks & Experiences	**8,903**	8,094	10 %
Consumer Products	**1,065**	992	7 %
	$ 9,968	$ 9,086	10 %
Supplemental operating income detail			
Parks & Experiences			
Domestic	**$ 2,088**	$ 1,650	27 %
International	**369**	422	(13) %
Consumer Products	**560**	444	26 %
	$ 3,017	$ 2,516	20 %

Total Parks & Experiences revenue increased $809 million, to $8,903 million from $8,094 million due to increases of 6% from higher volumes and 3% from increased guest spending.

Items Excluded from Segment Operating Income Related to Experiences

The following table presents supplemental information for items related to the Experiences segment that are excluded from segment operating income:

	Quarter Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Restructuring and impairment charges	**$ (10)**	$ —	nm
Acquisition Amortization	**(1)**	(1)	— %

BUSINESS SEGMENT RESULTS - Current Period Nine-Month Results Compared to the Prior-Year Nine-Month Period

Entertainment

Operating results for Entertainment are as follows:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Revenues			
Subscription and affiliate fees	**$ 22,596**	$ 20,343	11 %
Advertising	**5,070**	5,137	(1) %
Content sales	**5,257**	4,877	8 %
Other	**1,746**	1,901	(8) %
Total revenues	**34,669**	32,258	7 %
Operating expenses	**(22,927)**	(20,965)	(9) %
Selling, general, administrative and other	**(7,257)**	(7,075)	(3) %
Depreciation and amortization	**(687)**	(579)	(19) %
Equity in the income of investees	**318**	344	(8) %
Operating Income	**$ 4,116**	$ 3,983	3 %

Revenues - Subscription and affiliate fees

Growth in subscription and affiliate fees was due to increases of 5% from the Fubo Transaction, 4% from higher effective rates, 2% from more subscribers and 1% from a favorable foreign exchange impact.

Revenues - Advertising

The decline in advertising revenue included a decrease of 5% from lower rates, largely offset by an increase of 4% from higher impressions. Rates included an impact from less political advertising.

Revenues - Content sales

Higher content sales revenue was primarily due to an increase of 11% from theatrical distribution, partially offset by a decrease of 5% from TV/VOD and home entertainment distribution revenue. Higher theatrical distribution revenue was due to the performance of *Zootopia 2, Avatar: Fire and Ash, The Devil Wears Prada 2, Toy Story 5, Hoppers* and *The Mandalorian and Grogu* in the current period compared to *Moana 2*, *Lilo & Stitch*, *Mufasa: The Lion King, Captain America: Brave New World, Thunderbolts** and *Snow White* in the prior-year period.

Revenues - Other

The decrease in other revenue was attributable to the impact of our foreign exchange hedging program, partially offset by revenue increases including from higher intersegment allocations of revenues from the Experiences segment reflecting an increase in merchandise licensing royalties.

Operating expenses

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Programming and production costs	**$ (18,539)**	$ (16,938)	(9) %
Other operating expenses	**(4,388)**	(4,027)	(9) %
	$ (22,927)	$ (20,965)	(9) %

The increase in programming and production costs was due to increases of 5% from theatrical distribution, 4% from the Fubo Transaction and 3% from our streaming services, partially offset by decreases of 1% from lower film cost impairments and 1% from linear networks.

The increase in other operating expenses was due to higher technology and distribution costs.

Selling, general, administrative and other

Selling, general, administrative and other costs increased $182 million, to $7,257 million from $7,075 million, due to higher theatrical marketing costs and the Fubo Transaction.

Depreciation and amortization

Depreciation and amortization increased $108 million, to $687 million from $579 million, due to investments in technology and production facilities and other equipment.

Equity in the Income of Investees

Income from equity investees decreased $26 million, to $318 million from $344 million, due to lower income from A+E attributable to a decrease in advertising revenue.

Operating Income from Entertainment

Segment operating income increased $133 million, to $4,116 million from $3,983 million, due to an increase in subscription and affiliate fees, partially offset by higher operating costs.

Items Excluded from Segment Operating Income Related to Entertainment

The following table presents supplemental information for items related to the Entertainment segment that are excluded from segment operating income:

	Nine Months Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Restructuring and impairment charges[1]	**$ (1,088)**	$ (294)	>(100) %
Acquisition Amortization[2]	**(887)**	(961)	8 %

(1) Charges in the current period were $959 million for an impairment of our investment in A+E and $129 million for severance. Charges in the prior-year period were $185 million primarily for an impairment of our investment in Tata Play Limited and $109 million for content impairments.

(2) In the current period, amortization of intangible assets was $695 million and amortization of step-up on film and television costs was $192 million. In the prior-year period, amortization of intangible assets was $753 million and amortization of step-up on film and television costs was $199 million.

Sports

Operating results for Sports are as follows:

	Nine Months Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Revenues			
Subscription and affiliate fees	**$ 9,376**	$ 9,036	4 %
Advertising	**3,813**	3,647	5 %
Other	**829**	1,009	(18) %
Total revenues	**14,018**	13,692	2 %
Operating expenses	**(11,298)**	(10,808)	(5) %
Selling, general, administrative and other	**(989)**	(933)	(6) %
Depreciation and amortization	**(81)**	(34)	>(100) %
Equity in the income of investees	**51**	54	(6) %
Operating Income	**$ 1,701**	$ 1,971	(14) %

Revenues - Subscription and affiliate fees

Growth in subscription and affiliate fees reflected increases of 6% from higher effective rates and 2% from the NFL Transaction, partially offset by decreases of 3% from fewer subscribers and 1% from the temporary suspension of carriage with an affiliate in the current period.

Revenues - Advertising

Advertising revenue growth was due to higher rates.

Revenues - Other

The decrease in other revenue was due to a decrease in UFC pay-per-view revenue.

Operating expenses

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Programming and production costs	**$ (10,539)**	$ (10,072)	(5) %
Other operating expenses	**(759)**	(736)	(3) %
	$ (11,298)	$ (10,808)	(5) %

Programming and production costs increased in the current period compared to the prior-year period primarily due to contractual rate increases and costs for new sports rights, partially offset by the absence of certain rights costs, primarily for UFC content.

Selling, general, administrative and other

Selling, general, administrative and other costs increased $56 million, to $989 million from $933 million, due to higher sales and marketing costs, partially offset by the benefit from a comparison to the write-off of an investment in the prior-year period.

Depreciation and amortization

Depreciation and amortization increased $47 million, to $81 million from $34 million, due to investments in technology.

Operating Income from Sports

Segment operating income decreased $270 million, to $1,701 million from $1,971 million, as an increase in revenues was more than offset by higher programming and production costs and, to a lesser extent, an increase in sales and marketing costs.

Items Excluded from Segment Operating Income Related to Sports

The following table presents supplemental information for items related to the Sports segment that are excluded from segment operating income:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Acquisition Amortization[(1)]	**$ (55)**	$ (222)	75 %
Restructuring and impairment charges	**(15)**	—	nm

(1) Represents amortization of intangible assets.

Experiences

Operating results for the Experiences segment are as follows:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Revenues			
Theme park admissions	**$ 9,646**	$ 9,002	7 %
Resorts and vacations	**7,740**	6,953	11 %
Parks & Experiences merchandise, food and beverage	**6,831**	6,425	6 %
Merchandise licensing and retail	**3,355**	3,234	4 %
Parks licensing and other	**1,889**	1,776	6 %
Total revenues	**29,461**	27,390	8 %
Operating expenses	**(15,010)**	(14,155)	(6) %
Selling, general, administrative and other	**(3,142)**	(3,023)	(4) %
Depreciation and amortization	**(2,368)**	(2,095)	(13) %
Operating Income	**$ 8,941**	$ 8,117	10 %

Revenues - Theme park admissions

Theme park admissions revenue growth was due to increases of 5% from higher average per capita ticket revenue, 2% from increased attendance at our domestic and international parks and 1% from a favorable foreign exchange impact. Attendance growth at our domestic parks benefited from the comparison to the adverse impact of Hurricane Milton in the prior-year period.

Revenues - Resorts and vacations

Higher resorts and vacations revenue was due to increases of 8% from additional passenger cruise days and 2% from an increase in average daily hotel room rates. The increase in passenger cruise days reflected the launches of the *Disney Treasure* in December 2024, the *Disney Destiny* in November 2025 and the *Disney Adventure* in March 2026.

Revenues - Parks & Experiences merchandise, food and beverage

Parks & Experiences merchandise, food and beverage revenue growth was attributable to increases of 3% from higher average guest spending, 2% from volume growth and 1% from a favorable foreign exchange impact.

Revenues - Merchandise licensing and retail

Higher merchandise licensing and retail revenue was due to an increase of 4% from merchandise licensing, partially offset by a decrease of 1% from an unfavorable foreign exchange impact.

Revenues - Parks licensing and other

The increase in parks licensing and other revenue was primarily due to higher co-branding and sponsorship revenue, partially offset by an unfavorable foreign exchange impact.

Key metrics

	Nine Months Ended	
	June 27, 2026	June 28, 2025
Global guests increase (decrease)	**4 %**	1 %

	Domestic		International	
	Nine Months Ended		Nine Months Ended	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Parks				
Increase (decrease)				
Attendance	**1 %**	— %	**3 %**	— %
Per Capita Guest Spending	**4 %**	5 %	**4 %**	— %
Hotels				
Occupancy	**89 %**	88 %	**86 %**	87 %
Available Hotel Room Nights (in thousands)	**7,667**	7,653	**2,380**	2,376
Change in Per Room Guest Spending	**4 %**	4 %	**3 %**	5 %

Operating expenses

	Nine Months Ended		% Change Better (Worse)
(in millions)	**June 27, 2026**	June 28, 2025	
Operating labor	**$ (6,996)**	$ (6,661)	(5) %
Infrastructure costs	**(2,655)**	(2,527)	(5) %
Cost of goods sold and distribution costs	**(2,437)**	(2,431)	— %
Other operating expense	**(2,922)**	(2,536)	(15) %
	$ (15,010)	$ (14,155)	(6) %

The increase in operating labor was due to inflation, new guest offerings and an unfavorable foreign exchange impact. Higher infrastructure costs were primarily attributable to new guest offerings. Other operating expense increased due to new guest offerings, higher volumes, inflation and an unfavorable foreign exchange impact. New guest offerings include the fleet expansion at Disney Cruise Line.

Selling, general, administrative and other

Selling, general, administrative and other costs increased $119 million, to $3,142 million from $3,023 million, primarily due to new guest offerings and inflation.

Depreciation and amortization

Depreciation and amortization increased $273 million, to $2,368 million from $2,095 million, primarily due to higher depreciation at our domestic parks and experiences primarily attributable to an increase at Disney Cruise Line.

Operating Income from Experiences

Segment operating income increased $824 million, to $8,941 million from $8,117 million, due to higher revenues at Parks & Experiences and, to a lesser extent, Consumer Products, partially offset by higher costs.

Supplemental revenue and operating income

The following table presents supplemental revenue and operating income detail for the Experiences segment:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Supplemental revenue detail			
Parks & Experiences			
Domestic	**$ 20,943**	$ 19,334	8 %
International	**5,136**	4,778	7 %
Total Parks & Experiences	**26,079**	24,112	8 %
Consumer Products	**3,382**	3,278	3 %
	$ 29,461	$ 27,390	8 %
Supplemental operating income detail			
Parks & Experiences			
Domestic	**$ 6,146**	$ 5,455	13 %
International	**1,024**	1,067	(4) %
Consumer Products	**1,771**	1,595	11 %
	$ 8,941	$ 8,117	10 %

Total Parks & Experiences revenue increased $1,967 million, to $26,079 million from $24,112 million primarily due to increases of 4% from higher volumes and 3% from increased guest spending.

Items Excluded from Segment Operating Income Related to Experiences

The following table presents supplemental information for items related to the Experiences segment that are excluded from segment operating income:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Restructuring and impairment charges	**$ (23)**	$ —	nm
Acquisition Amortization	**(5)**	(5)	— %

CORPORATE AND UNALLOCATED SHARED EXPENSES

(in millions)	Quarter Ended		% Change Better (Worse)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025		**June 27, 2026**	June 28, 2025	
Corporate and unallocated shared expenses	**$ (334)**	$ (410)	19 %	**$ (1,018)**	$ (1,265)	20 %

Corporate and unallocated expenses decreased $76 million for the quarter, from $410 million to $334 million, primarily due to a favorable resolution of a legal matter in the current quarter compared to a legal settlement in the prior-year quarter and timing of allocations to the segments, partially offset by a gain on a land sale in the prior-year quarter.

Corporate and unallocated shared expenses for the nine-month period decreased $247 million, from $1,265 million to $1,018 million, attributable to a favorable resolution of a legal matter in the current period compared to legal settlements in the prior-year period.

FINANCIAL CONDITION

The change in cash and cash equivalents is as follows:

(in millions)	Nine Months Ended		% Change Better (Worse)
	June 27, 2026	June 28, 2025	
Cash provided by operations	**$ 12,515**	$ 13,627	(8) %
Cash used in investing activities	**(7,256)**	(6,193)	(17) %
Cash used in financing activities	**(5,740)**	(8,090)	29 %
Impact of exchange rates on cash, cash equivalents and restricted cash	**(19)**	31	nm
Change in cash, cash equivalents and restricted cash	**$ (500)**	$ (625)	20 %

Operating Activities

Cash provided by operations decreased from $13.6 billion in the prior-year period to $12.5 billion for the current period due to higher income tax payments and, to a lesser extent, lower operating cash flows at Sports driven by higher spending on sports content. These decreases were partially offset by higher operating cash flows at Experiences and Entertainment. The current period included payment of U.S. federal and California state income tax liabilities for fiscal 2025 and a portion of fiscal 2024, which were deferred pursuant to relief related to the 2025 wildfires in California. The increase in operating cash flow at both Experiences and Entertainment was due to higher operating cash receipts attributable to higher revenue, partially offset by higher operating cash disbursements attributable to higher operating expenses.

Produced and licensed programming costs

The Entertainment and Sports segments incur costs to produce and license film, episodic, sports and other content. Production costs include spend on content internally produced at our studios such as live-action and animated films and episodic series. Production costs also include original content commissioned from third-party studios. Programming costs include content rights licensed from third parties for use on the Company's sports and general entertainment networks and streaming services. Programming assets are generally recorded when the programming becomes available to us with a corresponding increase in programming liabilities.

The Company's film and television production and programming activity for the nine months ended June 27, 2026 and June 28, 2025 are as follows:

	Nine Months Ended	
(in millions)	**June 27, 2026**	June 28, 2025
Beginning balances:		
Produced and licensed programming assets	**$ 33,390**	$ 34,409
Programming liabilities	**(3,353)**	(3,692)
	30,037	30,717
Spending:		
Programming licenses and rights	**11,101**	10,492
Produced film and television content	**7,051**	7,116
	18,152	17,608
Amortization:		
Programming licenses and rights	**(10,986)**	(10,431)
Produced film and television content	**(8,272)**	(7,996)
	(19,258)	(18,427)
Change in produced and licensed content costs	**(1,106)**	(819)
Content Impairment (see Note 15 to the Condensed Consolidated Financial Statements)	**—**	(109)
Other non-cash activity	**96**	92
Ending balances:		
Produced and licensed programming assets	**32,127**	33,034
Programming liabilities	**(3,100)**	(3,153)
	$ 29,027	$ 29,881

The Company currently expects its fiscal 2026 spend on produced and licensed content, including sports rights, to be approximately $24 billion compared to fiscal 2025 spend on produced and licensed content, including sports rights, of $23 billion.

Investing Activities

Investing activities consist principally of investments in parks, resorts and other property and acquisition and divestiture activity. The Company's investing activities for the nine months ended June 27, 2026 and June 28, 2025 are as follows:

	Nine Months Ended	
(in millions)	**June 27, 2026**	June 28, 2025
Investments in parks, resorts and other property:		
Entertainment	**$ (968)**	$ (835)
Sports	**(1)**	—
Experiences		
Domestic	**(4,527)**	(4,068)
International	**(1,069)**	(865)
Total Experiences	**(5,596)**	(4,933)
Corporate	**(215)**	(340)
Total investments in parks, resorts and other property	**(6,780)**	(6,108)
Other investing activities, net	**(476)**	(85)
Cash used in investing activities	**$ (7,256)**	$ (6,193)

Capital expenditures at the Entertainment segment primarily reflect investments in technology and in facilities and equipment for expanding and upgrading broadcast centers, production facilities and television station facilities. The increase in the current period compared to the prior-year period was due to higher spend on technology assets.

Capital expenditures at the Experiences segment are principally for theme park and resort expansion, new attractions, cruise ships, capital improvements and technology. The increase in the current period compared to the prior-year period was due to higher spend on new theme park attractions.

Capital expenditures at Corporate primarily reflect investments in corporate facilities, technology and equipment. The decrease in the current period compared to the prior-year period was due to lower spend on facilities.

The Company currently expects its fiscal 2026 capital expenditures to be approximately $9 billion compared to fiscal 2025 capital expenditures of $8 billion. The projected increase in capital expenditures is due to higher spending at Experiences, attributable to theme park and resort expansion and new attractions, partially offset by lower spending on cruise ship fleet expansion.

The increase in cash used in other investing activities is primarily due to the acquisition of equity interests in different investments, partially offset by cash assumed as part of the acquisition of Fubo.

Financing Activities

Financing activities for the nine months ended June 27, 2026 and June 28, 2025 are as follows:

	Nine Months Ended	
(in millions)	**June 27, 2026**	June 28, 2025
Change in borrowings	**$ 3,689**	$ (3,410)
Dividends	**(1,337)**	(905)
Repurchases of common stock	**(7,245)**	(2,496)
Acquisition of redeemable noncontrolling interest	**—**	(439)
Other financing activities, net[(1)]	**(847)**	(840)
Cash used in financing activities	**$ (5,740)**	$ (8,090)

(1) Primarily consists of dividends to noncontrolling interest holders and equity award activity.

See Note 5 to the Condensed Consolidated Financial Statements for a summary of the Company's borrowing activities during the nine months ended June 27, 2026 and information regarding the Company's bank facilities. The Company may use cash balances, operating cash flows, commercial paper borrowings up to the amount of its unused $12.25 billion bank facilities and incremental term debt issuances to retire or refinance other borrowings before or as they come due.

See Note 10 to the Condensed Consolidated Financial Statements for a summary of dividends and share repurchases. The Company is targeting at least $9 billion in share repurchases in fiscal 2026.

The Company's operating cash flow and access to the capital markets can be impacted by factors outside of its control. We believe that the Company's financial condition is strong and that its cash balances, other liquid assets, operating cash flows, access to debt and equity capital markets and borrowing capacity under current bank facilities, taken together, provide adequate resources to fund ongoing operating requirements, contractual obligations, upcoming debt maturities, as well as future capital expenditures related to the expansion of existing businesses and development of new projects. In addition, the Company could undertake other measures to ensure sufficient liquidity, such as raising additional financing, reducing or not declaring future dividends; reducing or stopping share repurchases; reducing capital spending; reducing film and episodic content investments; or implementing further cost-saving initiatives.

The Company's borrowing costs can also be impacted by short- and long-term debt ratings assigned by nationally recognized rating agencies, which are based, in significant part, on the Company's performance as measured by certain credit metrics such as leverage and interest coverage ratios. As of June 27, 2026, Moody's Ratings' long- and short-term debt ratings for the Company were A2 and P-1 (Stable), respectively, and S&P Global Ratings' long- and short-term debt ratings for the Company were A and A-1 (Stable), respectively. The Company's bank facilities contain only one financial covenant, relating to interest coverage of three times earnings before interest, taxes, depreciation and amortization, including both intangible amortization and amortization of our film and television production and programming costs. On June 27, 2026, the Company met this covenant by a significant margin. The Company's bank facilities also specifically exclude certain entities, including the Asia Theme Parks and Fubo, from any representations, covenants or events of default.

MARKET RISK

The Company is exposed to the impact of interest rate changes, foreign currency fluctuations, commodity fluctuations and changes in the market values of its investments.

Policies and Procedures

In the normal course of business, we employ established policies and procedures to manage the Company's exposure to changes in interest rates, foreign currencies and commodities using a variety of financial instruments.

Our objectives in managing exposure to interest rate changes are to limit the impact of interest rate volatility on earnings and cash flows and to lower overall borrowing costs. To achieve these objectives, we primarily use interest rate swaps to manage net exposure to interest rate changes related to the Company's portfolio of borrowings. By policy, the Company targets fixed-rate debt as a percentage of its net debt between minimum and maximum percentages.

Our objective in managing exposure to foreign currency fluctuations is to reduce volatility of earnings and cash flows in order to allow management to focus on core business issues and challenges. Accordingly, the Company enters into various contracts that change in value as foreign exchange rates change to protect the U.S. dollar equivalent value of its existing foreign currency assets, liabilities, commitments and forecasted foreign currency revenues and expenses. The Company utilizes option strategies and forward contracts that provide for the purchase or sale of foreign currencies to hedge probable, but not firmly committed, transactions. The Company also uses forward and option contracts to hedge foreign currency assets and liabilities. The principal foreign currencies hedged are the euro, British pound, Japanese yen, Chinese yuan and Canadian dollar. Cross-currency swaps are used to effectively convert foreign currency denominated borrowings to U.S. dollar denominated borrowings. By policy, the Company maintains hedge coverage between minimum and maximum percentages of its forecasted foreign exchange exposures generally for periods not to exceed four years. The gains and losses on these contracts are intended to offset changes in the U.S. dollar equivalent value of the related exposures. The economic or political conditions in a country have reduced and in the future could reduce our ability to hedge exposure to currency fluctuations in the country or our ability to repatriate revenue from the country.

Our objectives in managing exposure to commodity fluctuations are to use commodity derivatives to reduce volatility of earnings and cash flows arising from commodity price changes. The amounts hedged using commodity swap contracts are based on forecasted levels of consumption of certain commodities, such as fuel, oil and gasoline.

Our objectives in managing exposures to market-based fluctuations in certain retirement liabilities are to use total return swap contracts to reduce the volatility of earnings arising from changes in these retirement liabilities. The amounts hedged using total return swap contracts are based on estimated liability balances.

It is the Company's policy to enter into foreign currency and interest rate derivative transactions and other financial instruments only to the extent considered necessary to meet its objectives as stated above. The Company does not enter into these transactions or any other hedging transactions for speculative purposes.

COMMITMENTS AND CONTINGENCIES

Legal Matters

As disclosed in Note 12 to the Condensed Consolidated Financial Statements, the Company has exposure for certain legal matters.

Tax Matters

As disclosed in Note 9 to the Consolidated Financial Statements in the 2025 Annual Report on Form 10-K, the Company has exposure for certain tax matters.

Contractual Commitments

See Note 14 to the Consolidated Financial Statements in the 2025 Annual Report on Form 10-K and Note 12 to the Condensed Consolidated Financial Statements.

OTHER MATTERS

Accounting Policies and Estimates

For a discussion of each of our critical accounting estimates, including information and analysis of estimates and assumptions involved in their application, see "Critical Accounting Policies and Estimates" included in Item 7, "Management's Discussion and Analysis of Financial Condition and Results of Operations" in our 2025 Annual Report on Form 10-K.

New Accounting Pronouncements

See Note 16 to the Condensed Consolidated Financial Statements for information regarding new accounting pronouncements.

SUPPLEMENTAL GUARANTOR FINANCIAL INFORMATION

On March 20, 2019 as part of the acquisition of TFCF, The Walt Disney Company ("TWDC") became the ultimate parent of TWDC Enterprises 18 Corp. (formerly known as The Walt Disney Company) ("Legacy Disney"). Legacy Disney and TWDC are collectively referred to as "Obligor Group", and individually, as a "Guarantor". Concurrent with the close of the TFCF acquisition, $16.8 billion of TFCF's assumed public debt (which then constituted 96% of such debt) was exchanged for senior notes of TWDC (the "exchange notes") issued pursuant to an exemption from registration under the Securities Act of 1933, as amended (the "Securities Act"), pursuant to an Indenture, dated as of March 20, 2019, between TWDC, Legacy Disney, as guarantor, and Citibank, N.A., as trustee (the "TWDC Indenture") and guaranteed by Legacy Disney. On November 26, 2019, $14.0 billion of the outstanding exchange notes were exchanged for new senior notes of TWDC registered under the Securities Act, issued pursuant to the TWDC Indenture and guaranteed by Legacy Disney. In addition, contemporaneously with the closing of the March 20, 2019 exchange offer, TWDC entered into a guarantee of the registered debt securities issued by Legacy Disney under the Indenture dated as of September 24, 2001 between Legacy Disney and Wells Fargo Bank, National Association, as trustee (the "2001 Trustee") (as amended by the first supplemental indenture among Legacy Disney, as issuer, TWDC, as guarantor, and the 2001 Trustee, as trustee).

Other subsidiaries of the Company do not guarantee the registered debt securities of either TWDC or Legacy Disney (such subsidiaries are referred to as the "non-Guarantors"). The par value and carrying value of total outstanding and guaranteed registered debt securities of the Obligor Group at June 27, 2026 was as follows:

	TWDC		Legacy Disney	
(in millions)	Par Value	Carrying Value	Par Value	Carrying Value
Registered debt with unconditional guarantee	$ 32,049	$ 32,772	$ 5,450	$ 5,418

The guarantees by TWDC and Legacy Disney are full and unconditional and cover all payment obligations arising under the guaranteed registered debt securities. The guarantees may be released and discharged upon (i) as a general matter, the indebtedness for borrowed money of the consolidated subsidiaries of TWDC in aggregate constituting no more than 10% of all consolidated indebtedness for borrowed money of TWDC and its subsidiaries (subject to certain exclusions), (ii) upon the sale, transfer or disposition of all or substantially all of the equity interests or all or substantially all, or substantially as an entirety, the assets of Legacy Disney to a third party, and (iii) other customary events constituting a discharge of a guarantor's obligations. In addition, in the case of Legacy Disney's guarantee of registered debt securities issued by TWDC, Legacy Disney may be released and discharged from its guarantee at any time Legacy Disney is not a borrower, issuer or guarantor under certain material bank facilities or any debt securities.

Operations are conducted almost entirely through the Company's subsidiaries. Accordingly, the Obligor Group's cash flow and ability to service its debt, including the public debt, are dependent upon the earnings of the Company's subsidiaries and the distribution of those earnings to the Obligor Group, whether by dividends, loans or otherwise. Holders of the guaranteed registered debt securities have a direct claim only against the Obligor Group.

Set forth below is summarized financial information for the Obligor Group on a combined basis after elimination of (i) intercompany transactions and balances between TWDC and Legacy Disney and (ii) equity in the earnings from and investments in any subsidiary that is a non-Guarantor. This summarized financial information has been prepared and presented pursuant to the Securities and Exchange Commission Regulation S-X Rule 13-01, "Financial Disclosures about Guarantors and Issuers of Guaranteed Securities" and is not intended to present the financial position or results of operations of the Obligor Group in accordance with GAAP.

Results of operations (in millions)	**Nine Months Ended June 27, 2026**
Revenues	$ —
Costs and expenses	—
Net income (loss)	(1,919)
Net income (loss) attributable to TWDC shareholders	(1,919)

Balance Sheet (in millions)	**June 27, 2026**	September 27, 2025
Current assets	$ 1,658	$ 2,295
Noncurrent assets	3,686	3,613
Current liabilities	11,274	9,592
Noncurrent liabilities (excluding intercompany to non-Guarantors)	37,504	36,314
Intercompany payables to non-Guarantors	174,026	167,091

Item 3. Quantitative and Qualitative Disclosures about Market Risk.

See Item 2, Management's Discussion and Analysis of Financial Condition and Results of Operations, Note 14 to the Condensed Consolidated Financial Statements and in Note 17 to Consolidated Financial Statements in Part II, Item 8 of the 2025 Annual Report on Form 10-K.

Item 4. Controls and Procedures

Evaluation of Disclosure Controls and Procedures – We have established disclosure controls and procedures to ensure that the information required to be disclosed by the Company in the reports that it files or submits under the Securities Exchange Act of 1934 is recorded, processed, summarized and reported within the time periods specified in SEC rules and forms and that such information is accumulated and made known to the officers who certify the Company's financial reports and to other members of senior management and the Board of Directors as appropriate to allow timely decisions regarding required disclosure.

Based on their evaluation as of June 27, 2026, the principal executive officer and principal financial officer of the Company have concluded that the Company's disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934) are effective.

Changes in Internal Controls – There have been no changes in our internal control over financial reporting during the third quarter of fiscal 2026 that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

PART II. OTHER INFORMATION

ITEM 1. Legal Proceedings

As disclosed in Note 12 to the Condensed Consolidated Financial Statements, the Company is engaged in certain legal matters, and the disclosure set forth in Note 12 to the Condensed Consolidated Financial Statements relating to certain legal matters is incorporated herein by reference.

ITEM 1A. Risk Factors

For an enterprise as large and complex as the Company, a wide range of factors could materially affect future developments and performance. In addition to the factors affecting specific business operations identified in connection with the description of these operations and the financial results of these operations elsewhere in our filings with the SEC, the most significant factors affecting our business include the factors discussed in our 2025 Annual Report on Form 10-K under Item 1A, "Risk Factors" as updated below. These disclosures reflect the Company's beliefs and opinions as to factors that could materially and adversely affect the Company and its securities in the future. References to past events are provided by way of example only and are not intended to be a complete listing or a representation as to all events that have occurred in the past or their likelihood of occurring in the future.

RISKS RELATED TO OUR BUSINESSES AND INDUSTRY

We face risks related to the renewal of long-term programming or distribution contracts on sufficiently favorable terms.

We enter into long-term contracts for both the acquisition and the distribution of media programming and products, including contracts for the acquisition of programming rights for sporting events and other programs, and contracts for the distribution of our programming to content distributors. As these contracts expire, we renew or renegotiate the contracts, which from time to time has led to service blackouts when distribution contracts expired before renewal terms were agreed. We may lose programming rights or distribution rights if we are unable to renew these contracts on acceptable terms. Renewal negotiations with certain MVPDs and other distributors for contracts scheduled to expire in fiscal 2026 could lead to temporary or longer-term service blackouts, negatively impacting our results of operations. For example, in the third quarter of fiscal 2026, the NFL Network and NFL RedZone were removed from Comcast Xfinity and service has not been reinstated, and in the first quarter of fiscal 2026, the Company's channels were temporarily removed from YouTube TV, in each case, following the expiration of the parties' distribution contract without agreement on renewal terms. Further, our portfolio of acquired programming rights, such as sporting events, and the distributors of our programming and the portfolio of programming rights we license to our distributors have changed and will continue to change over time. Even if these contracts are renewed, the cost of obtaining certain programming rights has increased and may continue to increase (or increase at faster rates than our historical experience) and programming distributors demand terms (including with respect to the pricing for, and the nature and amount of, programming distributed) that have and may in the future reduce our revenue from distribution of programs or increase revenue at slower rates than our historical experience. For example, the terms of certain renewals of carriage agreements have included fewer of our linear networks or the opportunity to offer multiple genre-specific bundle options of fewer than all our linear networks while providing for certain of our direct-to-consumer (DTC) streaming services to be made available to the distributor's subscribers. Moreover, our ability to renew these contracts on favorable terms is affected by a number of factors, such as consolidation in the market for program distribution and the entrance of new participants in the market for distribution of content on digital platforms. With respect to the acquisition of programming rights, particularly sports programming rights, the impact of these long-term contracts on our results over the term of the contracts depends on a number of factors, including the strength of advertising markets, subscription levels and programming rights costs increases, effectiveness of marketing efforts and the size of viewer audiences. There can be no assurance that revenues from programming based on these rights will exceed the cost of the rights plus the other costs of producing and distributing the programming.

The seasonality of certain of our businesses and timing of certain of our product offerings could exacerbate negative impacts on our operations.

Each of our businesses is normally subject to seasonal variations and variations in connection with the timing of our product offerings. See our 2025 Annual Report on Form 10-K under Item 1 – ENTERTAINMENT – Competition and Seasonality; – SPORTS – Competition and Seasonality; and – EXPERIENCES – Competition and Seasonality and Part 1, Item 2 – SEASONALITY in this Form 10-Q for a discussion of seasonal and other timing variations, as well as certain other fluctuations, on our results of operations. Further, negative impacts on our business occurring during a time of typical high seasonal demand, such as our park closures due to hurricane damage during the summer travel season or other high seasons or sports league work stoppages during that sports season, could have a disproportionate effect on the results of that business for the year.

RISKS RELATED TO INTELLECTUAL PROPERTY, LITIGATION, CYBERSECURITY AND REGULATORY REQUIREMENTS

We face risks related to the intellectual property rights that we hold as well as rights asserted by third parties.

The value to us of our IP is dependent on the scope and duration of our rights as defined by applicable laws in the U.S. and abroad and the manner in which those laws are construed. Where those laws are drafted or interpreted in ways that limit the extent or duration of our rights, or if existing laws are changed, our ability to generate revenue from our IP may decrease, or the cost of obtaining and maintaining rights may increase.

In the United States and countries that look to the United States copyright term when shorter than their own, the copyright term for early works and the specific early versions of characters depicted in those works expires at the end of the 95th calendar year after the date the copyright was originally secured in the United States. The terms of some copyrights for IP related to some of our products and services have expired, and other copyrights will expire in the future. For example, the copyright term for the short film Steamboat Willie (1928) and early versions of characters depicted in this film have expired. As copyrights expire, we expect that revenues generated from such IP will be negatively impacted to some extent.

The unauthorized use of our IP typically increases our costs, including in connection with our efforts to protect rights in our IP, and may reduce our revenues. The convergence of computing, communications and entertainment devices, increased broadband internet speed and penetration, increased availability and speed of mobile data transmission and increasingly sophisticated attempts to obtain unauthorized access to data systems have made the unauthorized digital copying and distribution of our films, television productions and other creative works easier and faster and protection and the enforcement of IP rights more challenging. The unauthorized distribution and access to entertainment content generally continues to be a significant challenge for IP rights holders. Further, the availability of certain AI tools has facilitated the creation of infringing works based on the unauthorized use of our IP. Inadequate laws or weak enforcement mechanisms to protect entertainment industry IP in one country can adversely affect the results of the Company's operations worldwide, despite the Company's efforts to protect its IP rights. Distribution innovations have increased opportunities to access content in unauthorized ways. Additionally, negative economic conditions or a shift in government priorities or policies could lead to less enforcement. These developments require us to devote substantial resources to protecting our IP against unlicensed use and present the risk of increased losses of revenue as a result of unlicensed distribution of our content and other commercial misuses of our IP. The legal landscape for some new technologies, including some AI tools, remains uncertain, and development of the law or other regulatory frameworks in this area could impact our ability to protect against unauthorized uses.

With respect to IP developed by the Company and rights acquired by the Company from others, the Company is subject to the risk of challenges to our copyright, trademark and patent rights by third parties. In addition, the availability of copyright protection and other legal protections for IP generated by certain new technologies, such as generative AI, is uncertain. Successful challenges to our rights in IP typically result in increased costs for obtaining rights or the loss of the opportunity to earn revenue from or utilize the IP that is the subject of challenged rights.

The Company is also subject to the risk of claims and litigation asserting that the Company is infringing certain third-party IP rights. Technological changes in industries in which the Company operates and extensive patent coverage in those areas increase the risk of such claims being brought and prevailing. For example, the Company's streaming services and technology are subject to patent infringement claims and litigation both in the United States and outside the United States. In defending such matters, we have developed, and may in the future develop, alternatives to features, functionalities and services in the relevant jurisdictions or more broadly, which increase our costs through investment of engineering and other resources and may result in some customers discontinuing use of our services. Adverse results in these matters and other matters asserting infringement of other types of third-party IP rights may include substantial payments by us, including royalties, licensing fees or monetary awards, and orders preventing us from offering or requiring us to change certain features, functionalities or services, which could harm our businesses and in aggregate negatively impact our results of operations.

We face risks from claims, litigation, governmental investigations and other proceedings to our businesses, reputation, results of operation and financial condition.

We are subject to various actual and threatened claims, litigation, investigations and other proceedings, including private individual actions, class actions and actions and investigations by governmental and other regulatory authorities, relating to a range of issues, including securities; competition and antitrust; intellectual property, including patent and copyright; employment and labor; taxes; privacy and data protection; data security; personal injury and property damage; consumer protection; broadcasting; contractual and commercial disputes; the production, distribution and licensing of our content; and other matters. For example, a private securities class action lawsuit was filed in federal court against the Company and certain current and former senior management on behalf of certain purchasers of securities of the Company seeking unspecified damages, plus interest and costs and fees, and an adverse final judgment or the terms of a settlement of such matter could result in the payment of substantial monetary damages. See Note 12 to the Condensed Consolidated Financial Statements for more details regarding this lawsuit and our 2025 Annual Report on Form 10-K under Item 1A, "Risk Factors", as updated by these

risk factors, regarding patent infringement litigation and other claims. In addition, from time to time, we bring actions seeking to vindicate our rights.

Actual and threatened proceedings and investigations increase our costs, divert management resources and disrupt business operations and may negatively impact our reputation and brands. The outcomes of such matters are inherently unpredictable, and determining legal reserves or potential losses from such matters involves judgment. If the ultimate cost of the resolution of such matters exceeds the total amounts previously recorded, our results of operations could be materially adversely affected for the applicable reporting period. Further, from time to time, adverse resolutions or settlements of such matters result in substantial monetary damages or substantial future payment obligations and injunctive relief or other orders or actions that limit or prevent our implementation of our business plans, including our ability to complete strategic transactions and offer certain products and services, impact the enforcement or validity of our property and other (including intellectual property) rights, franchises and licenses or cause us to alter our business practices, which individually or taken together, negatively impact our business prospects, our results of operations, our financial condition and price of our common stock. While we maintain insurance for certain types of claims, our insurance may not be adequate to cover all losses and does not cover all types of claims that may arise.

Regulations applicable to our businesses impact the profitability of our businesses.

Each of our businesses, including our broadcast networks and television stations, is subject to a variety of U.S. and international regulations, which impact the operations and profitability of our businesses. Some of these regulations include:

- U.S. Federal Communications Commission (FCC) regulation of our television and radio networks, our national programming networks and our owned television stations. See our 2025 Annual Report on Form 10-K under Item 1 — Federal Communications Commission Regulation.
- Federal, state and foreign privacy and data protection laws and regulations, including with respect to child safety. See our 2025 Annual Report on Form 10-K under Item 1 — Privacy and Data Protection Regulation.
- Regulation of the safety and supply chain of consumer products and theme park operations, including regulation regarding the sourcing, importation and the sale of goods.
- Land planning, use and development regulations applicable to our theme parks operations.
- Environmental protection and sustainability regulations.
- U.S. and international anti-corruption laws, sanction programs, trade restrictions, tariffs, anti-money laundering laws or currency controls.
- Restrictions on the manner in which content is currently licensed and distributed, ownership restrictions or film or television content requirements, investment obligations or quotas. See our 2025 Annual Report on Form 10-K under Item 1 — International Content Regulation.
- Domestic and international labor laws, tax laws and antitrust laws.

Laws and regulations in any of these and other areas and changes in judicial and agency interpretation or regulatory priorities, actions or initiatives (or, if applicable, private litigation to enforce such laws and regulations), as well as an increasingly unpredictable regulatory landscape, require us to incur additional costs and may limit our ability to implement our business strategies as planned or offer products and services in ways that are profitable, or at all. In addition, ongoing and future developments in international political, trade and security policy may lead to new regulations that increase the cost of providing our products and services, negatively impact demand for our products and services and limit international trade and investment, disrupting our operations in and outside the U.S., including our international theme parks and resorts operations in France, mainland China and Hong Kong. Accordingly, laws and regulations applicable to our business and operations and judicial and agency decisions and other actions in connection therewith, individually or taken together, may negatively impact our business prospects, our results of operations, our financial condition and the price of our common stock.

For example, in 2022 the U.S. and other countries implemented a series of sanctions against Russia in response to events in Russia and Ukraine; U.S. agencies have enhanced trade restrictions, including new prohibitions on the importation of goods from certain regions and other jurisdictions are considering similar measures; and U.S. state governments have become more active in passing legislation targeted at specific sectors and companies and applying existing laws in novel ways to new technologies, including streaming and online commerce. Tariffs announced with respect to and by certain U.S. trading partners, could, depending on how these or future tariffs or other regulations with respect to trade are implemented, have a significant impact on our results of operations, including by impacting the macroeconomic environment, increasing costs or adversely affecting demand for our products and services. In April 2026, the FCC ordered the Company to file early license renewal applications for all of our owned television stations, which the Company filed on May 28, 2026, and a response from the FCC is pending and could adversely impact the Company, including as described above and elsewhere in these risk factors and in our 2025 Annual Report on Form 10-K.

Further, the legal and regulatory landscape for certain new technologies, such as AI, is uncertain and evolving and our compliance obligations could increase our costs or limit how we may use these technologies in one or more of our businesses.

ITEM 2. Unregistered Sales of Equity Securities and Use of Proceeds

(c) The following table provides information about Company purchases of equity securities that are registered by the Company pursuant to Section 12 of the Exchange Act during the quarter ended June 27, 2026:

Period	Total Number of Shares Purchased	Average Price Paid per Share[1]	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs	Maximum Number of Shares that May Yet Be Purchased Under the Plans or Programs[2]
March 29, 2026 - April 30, 2026	8,786,600	$ 99.76	8,786,600	279 million
May 1, 2026 - May 31, 2026	3,136,227	103.73	3,136,227	276 million
June 1, 2026 - June 27, 2026	5,069,800	100.59	5,069,800	271 million
Total	16,992,627	100.74	16,992,627	271 million

(1) Amounts exclude the one percent excise tax on stock repurchases imposed by the Inflation Reduction Act of 2022.

(2) Under a share repurchase program implemented effective February 7, 2024, the Company is authorized to repurchase a total of 400 million shares of its common stock. The repurchase program does not have an expiration date.

ITEM 5. Other Items

Rule 10b5-1 Trading Arrangements

None of our directors or officers adopted or terminated a Rule 10b5-1 (as defined in Rule 16a-1(f)) trading arrangement or a non-Rule 10b5-1 trading arrangement (as defined in Item 408(c) of Regulation S-K) during the quarter ended June 27, 2026.

ITEM 6. Exhibits

INDEX OF EXHIBITS

Number and Description of Exhibit (Numbers Coincide with Item 601 of Regulation S-K)		Document Incorporated by Reference from a Previous Filing or Filed Herewith, as Indicated below
3.1	Restated Certificate of Incorporation of The Walt Disney Company, effective as of March 19, 2019	Exhibit 3.1 to the Current Report on Form 8-K of the Company filed March 20, 2019
3.2	Certificate of Amendment to the Restated Certificate of Incorporation of The Walt Disney Company, effective as of March 20, 2019	Exhibit 3.2 to the Current Report on Form 8-K of the Company filed March 20, 2019
3.3	Amended and Restated Bylaws of The Walt Disney Company, effective as of November 30, 2023	Exhibit 3.1 to the Current Report on Form 8-K of the Company filed November 30, 2023
3.4	Amended and Restated Certificate of Incorporation of TWDC Enterprises 18 Corp., effective as of March 20, 2019	Exhibit 3.1 to the Current Report on Form 8-K of Legacy Disney filed March 20, 2019
3.5	Amended and Restated Bylaws of TWDC Enterprises 18 Corp., effective as of March 20, 2019	Exhibit 3.2 to the Current Report on Form 8-K of Legacy Disney filed March 20, 2019
3.6	Certificate of Elimination of Series B Convertible Preferred Stock of The Walt Disney Company, as filed with the Secretary of State of the State of Delaware on November 28, 2018	Exhibit 3.1 to the Current Report on Form 8-K of Legacy Disney filed November 30, 2018
22	List of Guarantor Subsidiaries	Filed herewith
31(a)	Rule 13a-14(a) Certification of Chief Executive Officer of the Company in accordance with Section 302 of the Sarbanes-Oxley Act of 2002	Filed herewith
31(b)	Rule 13a-14(a) Certification of Chief Financial Officer of the Company in accordance with Section 302 of the Sarbanes-Oxley Act of 2002	Filed herewith
32(a)	Section 1350 Certification of Chief Executive Officer of the Company in accordance with Section 906 of the Sarbanes-Oxley Act of 2002*	Furnished
32(b)	Section 1350 Certification of Chief Financial Officer of the Company in accordance with Section 906 of the Sarbanes-Oxley Act of 2002*	Furnished
101	The following materials from the Company's Quarterly Report on Form 10-Q for the quarter ended June 27, 2026 formatted in Inline Extensible Business Reporting Language (iXBRL): (i) the Condensed Consolidated Statements of Income, (ii) the Condensed Consolidated Statements of Comprehensive Income, (iii) the Condensed Consolidated Balance Sheets, (iv) the Condensed Consolidated Statements of Cash Flows, (v) the Condensed Consolidated Statements of Equity and (vi) related notes	Filed herewith
104	Cover Page Interactive Data File (embedded within the Inline XBRL document)	Filed herewith

* This certification is deemed not filed for purposes of Section 18 of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), or otherwise subject to the liability of that section, nor shall it be deemed incorporated by reference into any filing under the Securities Act of 1933, as amended or the Exchange Act.

SIGNATURE

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

THE WALT DISNEY COMPANY
(Registrant)

By: /s/ HUGH F. JOHNSTON
Hugh F. Johnston,
Senior Executive Vice President and
Chief Financial Officer

August 5, 2026
Burbank, California